



ACCOUNTING DICTIONARY

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AUDITING

Adverse opinion

The opinion expressed when the auditor concludes that the financial statements are materially and pervasively misstated and accordingly are not prepared by the applicable financial reporting framework (ordinarily GAAP).

Agreed-upon procedures

An attest engagement in which the CPAs agree to perform procedures for a specified party and to issue a report that is restricted to use by that party (and management).

Accounting estimate

An approximation of a monetary amount in the absence of a precise means of measurement. This term is used for an amount measured at fair value where there is estimation uncertainty, as well as for other amounts that require estimation.

Analytical procedures

Evaluations of financial information through analysis of plausible relationships among both financial and nonfinancial data.

Analytical procedures also encompass such investigation, as is necessary, of identified fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount.

Assertions

Representations by management, explicit or otherwise that are embodied in the financial statements, as used by the auditor to consider the different types of potential misstatements that may occur.

Audit evidence

Information used by the auditor in arriving at the conclusions on which the auditor's opinion is based.



Audit evidence includes both information contained in the accounting records underlying the financial statements and other information:

The sufficiency of audit evidence is the measure of the quantity of audit evidence. The quantity of the audit evidence needed is affected by the auditor's assessment of the risks of material misstatement and also by the quality of such audit evidence.

Appropriateness of audit evidence is the measure of the quality of audit evidence; that is, its relevance and its reliability in providing support for the conclusions on which the auditor's opinion is based.

Audit plan

A description of the nature, timing, and extent of the audit procedures to be performed.

Audit risk

The risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of the risks of material misstatement and detection risk.

Audit strategy

The approach involves determining overall characteristics of an audit that define its scope, its reporting objectives, timing of procedures, and various important factors relating to the audit. When the overall audit

the strategy has been established; the auditors start the development of a more detailed audit plan to address the various matters identified in the audit strategy.

Appropriateness (of audit evidence)

The measure of the quality of audit evidence; that is, its relevance and its reliability in providing support for the conclusions on which the auditor's opinion is based.

Arm's-length transaction

A transaction conducted on such terms and conditions between a willing



buyer and a willing seller who are unrelated and are acting independently of each other and pursuing their own best interests.

The applicable financial reporting framework

The financial reporting framework adopted by management and, when appropriate, those charged with governance in the preparation and fair presentation of the financial statements that are acceptable given the nature of the entity and the objective of the financial statements, or that is required by law or regulation.

Assurance engagement

An engagement in which an accountant issues a report designed to enhance the degree of confidence of third parties and management about the outcome of an evaluation or measurement of financial statements (subject matter) against an applicable financial reporting framework.

Attest engagement

An attest engagement as an engagement performed by public accountants

that requires independence. The attest standards define it as one in which the public accountant's issue an examination, a review, or an agreed-upon procedures report on the subject matter or on an assertion about subject matter that is the responsibility of another party (ordinarily management).

Audit report on financial statements

A document designed to communicate the nature of the audit, including responsibilities taken, limitations, and a conclusion as to the fairness of presentation of the financial statements.

Control risk

The risk that a misstatement that could occur in an assertion about a class of transaction, account balance, or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control.

**Comparative financial statements**

A complete set of financial statements for one or more prior periods included with current year financial statements of the current period.

Compliance audit

An audit that emphasizes performing audit procedures to test an organization's compliance with laws and regulations.

Condensed (summary) financial statements

Historical financial information that is derived from the financial statements but contains less detail, while still providing a structured representation consistent with the financial statements.

Consistency

The concept of using the same accounting principles from year to year so that the successive financial statements issued by a business entity will be comparable.

Compilation of financial statements

An accounting service that involves the preparation of financial statements from client records. No assurance is provided in a compilation. The current professional standards consider compilations to attest engagements.

Deficiency in internal control

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct misstatements on a timely basis. A deficiency in design exists when (a) a control necessary to meet the control objective is missing or (b) an existing control is not properly designed so that, even if the control operates as designed, the control objective would not be met. A deficiency in operation exists when a properly designed control does not operate as designed, or when the person performing the control does not possess the necessary authority or competence to perform the control effectively.

**Detection risk**

The risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists, and that could be material, either individually or when aggregated with other misstatements.

Date of the auditor's report

A date no earlier than the date on which the auditor has obtained sufficient appropriate audit evidence, including evidence that the audit documentation has been reviewed.

Date of the financial statements

The date of the end of the latest period covered by the financial statements.

Disclaimer of opinion

An auditor's conclusion in an audit report that he or she is unable to form an opinion on whether the financial statements are prepared by the applicable financial reporting framework (ordinarily GAAP). This conclusion most frequently occurs due to a lack of sufficient appropriate audit evidence. It may also occur due to uncertainties, including going concern uncertainties.

Emphasis-of-matter paragraph

A paragraph included in the auditor's report that is required by GAAS or is included at the auditor's discretion, and that refers to a matter appropriately presented or disclosed in the financial statement that,

in the auditor's professional judgment, is of such importance that it is fundamental to users' understanding of the financial statements

Examination

An attest engagement designed to provide the highest level of assurance that CPAs provide on an assertion. An examination of financial statements is referred to as an audit

**Explanatory paragraph**

For a public company, a paragraph inserted in an audit report in which the auditors describe the reasons for giving a report other than a standard report.

Engagement letter

A formal letter sent by the auditors to the client at the beginning of an engagement summarizing such matters as the nature of the engagement, any limitations on the scope of the audit work, work to be performed by the client's staff, and the basis for the audit fee. The purpose of engagement letters is to avoid misunderstandings.

Exception (to external confirmation request)

A response that indicates a difference between the information requested to be confirmed, or contained in the entity's records, and information provided by the confirming party.

External confirmation

Audit evidence obtained as a direct written response to the auditor from a third party (the confirming party), either in paper form or by electronic or another medium (for example, through the auditor's direct access to information held by a third party).

The auditor's direct access to information held by the confirming party may meet the definition of an external confirmation when for example, the auditor is provided by the confirming party with the electronic access codes or information necessary to access a secure website where data that addresses the subject matter of the confirmation is held.

The auditor's access to information held by the confirming party may also be facilitated by a third-party provider. Where access codes or information necessary to access data held by a third party is provided to the auditor by management (i.e., not by the confirming party), evidence obtained by the auditor from access to such information does not meet the definition of external confirmation.

**Fraud**

An intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception that results in a misstatement in financial statements that are subject to an audit. For financial statement audits, fraud includes two types of intentional misstatements - misstatements arising from fraudulent financial reporting and misstatements arising from misappropriation of assets.

Fraud risk factors

Events or conditions that indicate an incentive or pressure to perpetrate fraud, provide an opportunity to commit fraud, or indicate attitudes or rationalizations to justify a fraudulent action.

Fraudulent financial reporting (management fraud, cooking the books) Material misstatement of financial statements by management with the intent to mislead financial statement users.

Further audit procedures

The additional procedures that are performed based on the results of the auditors' risk assessment procedures. Such procedures include (1) tests of controls (if needed), (2) detailed tests of transactions, balances, and disclosures, and (3) substantive analytical procedures.

General-purpose financial statements

Financial statements prepared by a general-purpose framework.

General-purpose framework

A financial reporting framework designed to meet the common financial information needs of a wide range of users.

Hypothetical transaction

A transaction or financial reporting issue that does not involve the facts or circumstances of a specific entity.

Historical financial information

The information expressed in financial terms about a particular entity,



derived primarily from that entity's accounting system, about economic events occurring in past periods or about economic conditions or circumstances at points in time in the past.

Inherent risk

The susceptibility of an assertion about a class of transaction, account balance, or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

Internal auditing

An independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps an organization accomplish its objective by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes.

Internal control

A process - affected by those charged with governance, management, and other personnel - designed to provide reasonable assurance about the achievement of the entity's objectives about the reliability of financial reporting, effectiveness, and efficiency of operations, and compliance with applicable laws and regulations. Internal control over the safeguarding of assets against unauthorized acquisition, use, or disposition may include controls relating to financial reporting and operations objectives.

Internal control checklist

One of several methods of describing internal control in audit working papers. Checklists are usually designed so that "no" answers prominently identify weaknesses in internal control.

Internal control flowchart

One of several methods of describing internal control in audit working papers. A symbolic representation of a system or series of procedures with each procedure shown in sequence.

**Internal control questionnaire**

One of several methods of describing internal control in audit working papers. Questionnaires may either ask (1) open-ended questions or (2) “yes/no” questions (in which case it, in essence, becomes the same as an internal control checklist).

Internal control written narrative

One of several methods of describing internal control in audit working papers. A written summary of internal control for inclusion in audit working paper - generally a memo.

Limited (negative) assurance

A conclusion by CPAs that, after applying limited investigative techniques to certain information, they are not aware of the need to modify the presentation of the information.

Letters for underwriters

Deal with matters such as the auditor’s independence and the compliance of unaudited data with the requirements of the SEC. These letters are also referred to as “comfort letters.”

Material weakness

A deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity’s financial statements will not be prevented, or detected and corrected, on a timely basis.

Materiality

The magnitude of an omission or misstatement of accounting information that, in the light of surrounding circumstances, makes it probable that the judgment of a reasonable person relying on the information would have been changed or influenced by the omission or misstatements.

Misappropriation of assets (defalcations)

Theft of client assets by an employee or officer of the organization.

**Misstatement**

A difference between the amount, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be by the applicable financial reporting framework. Misstatements can arise from error or fraud. Misstatements also include those adjustments of amounts, classifications, presentations, or disclosures that, in the auditor's judgment, are necessary for the financial statements to be presented fairly, in all material respects.

- a. Factual misstatements. Misstatements about which there is no doubt.
- b. Judgmental misstatements. Differences arising from the judgments of management concerning accounting estimates that the auditor considers unreasonable or the selection or application of accounting policies that the auditor considers inappropriate.
- c. Projected misstatements. The auditor's best estimate of misstatements in populations, involving the projection of misstatements identified in audit samples to the entire population from which the samples were drawn. For example, if statistical sampling was used with receivables, the difference between auditor estimated the total audited value and the book value of receivables is the projected misstatement.

Modified opinion

A qualified opinion, an adverse opinion, or a disclaimer of opinion.

Negative confirmation request

A request that the confirming party responds directly to the auditor only if the confirming party disagrees with the information provided in the request.

Nonresponse

A failure of the confirming party to respond, or fully respond, to a



positive confirmation request or a confirmation request returned undelivered.

Noncompliance

Acts of omission or commission by the entity, either intentional or unintentional, which are contrary to the prevailing laws or regulations.

Such acts involve transactions entered into by, or in the name of the entity, or on its behalf, by those charged with governance, management, or employees. Noncompliance does not include personal misconduct (unrelated to the business activities of the entity) by those charged with governance, management, or employees of the entity.

Negative assurance

A conclusion by CPAs that, after applying limited investigative techniques to certain information, they are not aware of the need to modify the presentation of the information.

Other-matter paragraph

A paragraph included in the auditor's report that is required by GAAS, or is included at the auditor's discretion, and that refers to a matter other than those presented or disclosed in the financial statements that, in the auditor's professional judgment is relevant to users' understanding of the audit, the auditor responsibilities or the auditor's opinion.

Pervasive

The effects on financial statements of misstatements or possible effects of misstatements that are undetected due to an inability to obtain sufficient appropriate audit evidence. Pervasive effects on the financial statements are those that, in the auditor's judgment is not confined to specific elements, accounts or items of the financial statements or if so confined, represent or could represent a substantial proportion of the financial statements or in relation to disclosures, are fundamental to users' understanding of the financial statements.

Omitted procedure

An auditing procedure that the auditor considered necessary in the



circumstances existing at the date of the audit of financial statements, but which was not performed.

Professional judgment

The application of relevant training, knowledge, and experience within the context provided by auditing, accounting, and ethical standards, in making informed decisions about the courses of action that are appropriate in the circumstances of the audit engagement.

Professional skepticism

An attitude that includes a questioning mind, being alert to conditions that may indicate possible misstatement due to fraud or error, and a critical assessment of audit evidence.

Positive confirmation request

A request that the confirming party responds directly to the auditor providing the requested information or indicating whether the confirming party agrees or disagrees with the information in the request.

Performance materiality

The amount (or amounts) set by the auditor at less than materiality for the financial statements as a whole to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality for the financial statements as a whole. It may also refer to the amount or amounts set by the auditor at less than the materiality level or levels for particular classes of transactions, account balances, or disclosures. See also tolerable misstatement.

Predecessor auditor

CPA firm that formerly served as an auditor but has resigned from the engagement or has been notified that its services have been terminated.

Qualified opinion

The opinion expressed when the auditor concludes that the financial statements are prepared in all material respects, per the applicable financial reporting framework (ordinarily GAAP) except for the



effects of some limitation in the scope of the audit or some departure from GAAP.

Reasonable assurance

In the context of an audit of financial statements, a high, but not absolute, level of assurance.

Related-party transaction

A transaction in which one party can influence significantly the management or operating policies of the other party, to the extent that one of the transacting parties might be prevented from pursuing its separate interests fully.

Risk assessment procedures

The audit procedures performed to obtain an understanding of the entity and its environment, including the entity's internal control, to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels.

Relevant assertion

A financial statement assertion that has a reasonable possibility of containing a misstatement or misstatements that would cause the financial statements to be materially misstated. The determination of whether an assertion is a relevant assertion is made without regard to the effect of controls.

Risk of material misstatement

The risk that the financial statements are materially misstated before the audit. This consists of two components, inherent risk, and control risk.

Scanning

A type of analytical procedure involving the auditor's use of professional judgment to review accounting data to identify significant or unusual items.

Subsequent events

Events are occurring between the date of the financial statements and



the date of the auditor's report that require adjustment of, or disclosure in, the financial statements.

Subsequently discovered facts

Facts that become known to the auditor after the date of the auditor's report that, had they been known to the auditor at that date, may have caused the auditor to amend the auditor's report.

Substantive procedure

An audit procedure designed to detect material misstatements at the assertion level. Substantive procedures comprise tests of details (classes of transactions, account balances, and disclosures) and substantive analytical procedures.

Sufficiency (of audit evidence)

The measure of the quantity of audit evidence. The quantity of the audit evidence needed is affected by the auditor's assessment of the risks of material misstatement and also by the quality of such audit evidence

Written representation

A written statement by management provided to the auditor to confirm certain matters or to support other audit evidence. Written representations, for purposes of this section, do not include financial statements, the assertions therein, or supporting books and records.

Significant risk

An identified and assessed the risk of material misstatement that, in the auditor's judgment, requires special audit consideration

Specialist

An individual or organization possessing expertise in a field other than accounting or auditing, whose work in that field is used by the auditor to assist the auditor in obtaining sufficient appropriate audit evidence.

Successor auditor

The auditors who have accepted an engagement to replace the CPA firm that formally served as an auditor (the predecessor auditor).

**Significant deficiency**

A deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Shared responsibility opinion

An audit report in which the principal auditors decide to refer to another auditor involved with the audit of some component of the company.

Significant deficiency

A deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Standard audit report

The wording of an unqualified audit report that includes no modifications for matters such as substantial doubt about going concern status, a change in accounting principle, emphasis of a matter described in the financial statements, or a shared responsibility opinion.

Those charged with governance

The person(s) or organization(s) (for example, a corporate trustee) with responsibility for overseeing the strategic direction of the entity and the obligations related to the accountability of the entity. This includes overseeing the financial reporting process. Those charged with governance may include management personnel, for example, executive members of a governance board or an owner-manager.

Tests of controls

An audit procedure designed to evaluate the operating effectiveness of controls in preventing or detecting/correcting material misstatements at the assertion level.

Tolerable misstatement

The application of performance materiality to a particular sampling procedure. Tolerable misstatement may be the same amount or an



amount lower than performance materiality (for example, when the population from the sample selected is smaller than the account balance).

Walk-through

A procedure in which an auditor follows a transaction from origination through the company's processes, including information systems, until it is reflected in the company's financial records, using the same documents and information technology that company personnel use.

Walkthrough procedures usually include a combination of inquiry, observation, an inspection of relevant documentation, and reperformance of controls.

Unmodified opinion

The opinion expressed when the auditor concludes that the financial statements are prepared in all material respects by the applicable financial reporting framework.



FINANCIAL ACCOUNTING & REPORTING

Accounting policies

The specific principles, bases, conventions, rules, and practices adopted by an entity in preparing and presenting financial statements.

Accruals concept

In the accruals basis of accounting, items are recognized as assets, liabilities, equity, income, and expenses (the elements of financial statements) when they satisfy the definitions and recognition criteria for those elements in the Conceptual Framework. Items of income and expenditure are matched and accounted for in the period in which they were earned or incurred rather than when the cash was received or paid.

Asset

A resource controlled by an entity as a result of past events and from which future economic benefits are expected to flow to the entity.

Asset turnover

Sales compared to capital employed.

Associate

An entity, including an unincorporated entity such as a partnership, in which an investor has significant influence and which is neither a subsidiary nor a joint venture of the investor.

Borrowing costs

Interest and other costs incurred by an entity in connection with the borrowing of funds.

Capital gearing ratio

A measure of the proportion of a company's capital that is debt.

Carrying amount

The amount at which an asset is recognized in the statement of financial



position after deducting any accumulated depreciation and accumulated impairment losses.

Cash

Cash on hand and demand deposits.

Cash equivalents

Short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Cash flows

Inflows and outflows of cash and cash equivalents.

Cash-generating unit

The smallest identifiable group of assets for which independent cash flows can be identified and measured.

Capital expenditure

Expenditure on non-current assets, the net cost of which is to be 'capitalized' and depreciated over the anticipated useful working life of the assets.

Change in accounting estimate

An adjustment of the carrying amount of an asset or a liability or the amount of the periodic consumption of an asset that results from the assessment of the present status of, and expected future benefits and obligations associated with assets and liabilities.

Comparability

Accounting policies used should be disclosed, to make it possible for users to compare the company's results with its prior years and with the results of other companies.

Conceptual framework

A statement of generally accepted theoretical principles which form the frame of reference for financial reporting.

**Consolidated accounts**

A form of group accounts which combines the information contained in the separate accounts of a holding company and its subsidiaries as if they were the accounts of a single entity.

Cost model

A non-current asset is carried at its cost less depreciation and any accumulated impairment loss.

Control

The power to govern the financial and operating policies of an entity to obtain benefits from its activities.

Current assets

Assets used in the trading activities of the business, such as inventory, trade receivables and cash in the bank.

Current liabilities

Amounts due in the shorter term, such as trade payables and sales tax.

Current ratio

The ratio of current assets to current liabilities

Current tax

The amount payable to the tax authorities to the trading activities of the period.

Deductible temporary differences

Temporary differences that will result in amounts that are deductible in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled. These result in a deferred tax asset.

Deferred tax

An accounting measure used to match the tax effects of transactions with their accounting impact and thereby produce less distorted results.

**Deferred tax assets**

The amounts of income taxes recoverable in future periods in respect of:

- Deductible temporary differences
- The carryforward of unused tax losses
- The carryforward of unused tax credits.

Deferred tax liabilities

The amounts of income taxes payable in future periods in respect of temporary taxable differences.

Depreciable amount

When dealing with a depreciable asset, this is the historical cost or other amount substituted for cost in the financial statements, less the estimated residual value.

Depreciable assets

Assets which:

- Are expected to be used during more than one accounting period
- Have a limited useful life
- Are held by an entity for use in the production or supply of goods and services, for rental to others, or administrative purposes.

Depreciation

A method of spreading the cost of non-current assets over their useful lives with an annual charge to the statement of comprehensive income.

Development

The application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems, or services before the commencement of commercial production or use.

**Dividend cover**

The ratio of earnings per share to dividend per share.

Dividend yield

The return a shareholder is currently expecting on the shares of a company.

Earnings per share (EPS)

The amount of net profit for the period that is attributable to each ordinary share which is outstanding during all or part of the period.

Economic value (EV), or value in use

What the existing asset will be worth to the company over the rest of its useful life.

Equity

The residual interest in the assets of the entity after deducting all its liabilities.

Equity method

A method of accounting whereby the investment is initially recorded at cost and adjusted after that for the post-acquisition change in the investor's share of net assets of the investee. The profit or loss of the investor includes the investor's share of the profit or loss of the investee.

Exchange difference

The difference is resulting from translating a given number of units of one currency into another currency at different exchange rates.

Exchange rate

The ratio of exchange for two currencies.

Expenses

Decreases in economic benefits during the accounting period in the form of outflows or depletions of assets or incurring liabilities that result in decreases in equity, other than those relating to distributions to equity participants.

**Faithful representation**

Information that is faithfully represented is complete, neutral, and free from error.

Fair value

The amount for which an asset could be exchanged or a liability settled, between knowledgeable, willing parties in an arm's length transaction.

Financial accounting

The accounting processes required for reporting the results and financial position of a business.

Financial reporting

A way of recording, analyzing, and summarizing financial data.

Foreign currency

Currency is other than the functional currency of the entity.

Functional currency

The currency of the primary economic environment in which the entity operates.

Gains

Increases in economic benefits. As such, they are no different from revenue.

Generally accepted accounting principles (GAAP)

Signifies all the rules, from whatever source, which govern accounting.

Going concern concept

The entity is normally viewed as a going concern, that is, as continuing in operation for the foreseeable future. It is assumed that the entity has neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations.

Goodwill

Any excess of the consideration transferred to obtain control of another entity plus the non-controlling interest in that entity over the fair value of



the identifiable assets and liabilities of the entity as at the date of the exchange transaction.

Group

A parent and all its subsidiaries.

Historical cost

Assets are recorded at the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire them at the time of their acquisition.

Impairment

A fall in the value of an asset, so that its 'recoverable amount' is now less than its carrying amount in the statement of financial position.

Impairment loss

The amount by which the carrying amount of an asset exceeds its recoverable amount.

Income

Increases in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases of liabilities that result in increases in equity, other than those relating to contributions from equity participants.

Intangible assets

Non-monetary assets without physical substance.

Interest cover

A ratio that shows whether a company is earning enough profits before interest and tax to pay its interest costs comfortably, or whether its interest costs are high to the size of its profits.

Intra-group trading

Trading/transactions between companies in a group.

**Net realizable value**

The expected price less any costs still to be incurred in getting the item ready for sale and then selling it.

Non-controlling interest

The shares in a subsidiary that are not owned by the parent company.

Non-current assets

Assets for long-term use within the business.

Non-current liabilities

Long term liabilities usually due after more than one year.

Operating cycle of an entity

The time between the acquisition of assets for processing and their realization in cash or cash equivalents.

Other comprehensive income

Gains and losses which arise in the accounting period but are not included in profit or loss as they are not realized. This includes revaluation gains.

Parent

An entity that has one or more subsidiaries.

Payables payment period

Several days of credit taken from suppliers.

Post-acquisition profits

Profits earned by a subsidiary since the date of acquisition.

Presentation currency

The currency in which the financial statements are presented.

Price/Earnings (P/E) ratio

The ratio of a company's current share price to the earnings per share.

**Prior period errors**

Omissions from, and misstatements in, the entity's financial statements for one or more prior periods arising from a failure to use, or misuse of, reliable information that:

- Was available when financial statements for those periods were authorized for issue, and
- Could reasonably be expected to have been obtained and taken into account in the preparation

Profit margin

Profit as a percentage of sales.

Property, plant, and equipment

Tangible assets:

- Are held for use in the production or supply of goods or services, for rental to others, or administrative purposes; and
- Are expected to be used during more than one period. Prospective application. Relates to a change in accounting policy and of recognizing the effect of a change in an accounting estimate, respectively, by:
 - Applying the new accounting policy to transactions, other events and conditions occurring after the date as at which the policy is changed; and
 - Recognizing the effect of the change in the accounting estimate in the current and future periods affected by the change.

Provision

A present obligation satisfies the rest of the definition of a liability, even if the amount of the obligation has to be estimated.

**Qualifying asset**

An asset that necessarily takes a substantial period to get ready for its intended use or sale.

Quick ratio

The ratio of current assets minus inventory to current liabilities – also known as the acid test ratio.

Realizable value

The amount of cash or cash equivalents that could currently be obtained by selling an asset in an orderly disposal.

Receivables collection period

The number of days taken to collect receivables outstanding.

Recognition

The process of incorporating in the statement of financial position or statement of comprehensive income an item that meets the definition of an element.

Relevance

Relevant financial information is capable of making a difference in the decisions made by users.

Replacement cost

The amount needed to replace an item with an identical item. This is the same as the current cost.

Reporting entity

An entity for which some users rely on the financial statements as their major source of financial information about the entity.

Research

Original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding.

**Residual value**

The net amount which the entity expects to obtain for an asset at the end of its useful life after deducting the expected costs of disposal.

Retrospective application

Applying a new accounting policy to transactions, other events, and conditions as if that policy had always been applied.

Return on capital employed (ROCE)

States the profit as a percentage of the amount of capital employed.

Return on equity (ROE)

States profit as a percentage of shareholders' funds.

Revaluation model

Non-current assets are carried at a revalued amount, being its fair value at the date of the revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

Revenue

The gross inflow of economic benefits during the period arising in the course of the ordinary activities of an entity when those inflows result in increases in equity, other than increases relating to contributions from equity participants.

Revenue expenditure

Expenditure incurred for the trade of the business or to maintain the existing earning capacity of non-current assets.

Significant influence

The power to participate in the financial and operating policy decisions of an investee or an economic activity but is not control or joint control over those policies.

Solvency

The availability of cash over the long term to meet financial commitments as they fall due.

**Statement of changes in equity**

Shows the movement in the equity section of the statement of financial position.

Statement of cash flows

A useful addition to the financial statements of a company because accounting profit is not the only indicator of performance. Statements of cash flows concentrate on the sources and uses of cash and are a useful indicator of a company's liquidity and solvency.

Statement of comprehensive income

A statement is showing the profit or loss of an entity (*being income less expenses*) and total comprehensive income (*being the profit or loss plus other comprehensive income*). The section showing profit or loss may be referred to as an income statement or profit and loss account.

Statement of financial position

Key financial statement which lists the assets, liabilities, and owners' equity of a business. Sometimes referred to as a balance sheet.

Straight-line depreciation

Where an equal amount of the depreciable amount of an asset is written off in each year of its useful life.

Subsidiary

An entity that is controlled by another entity (known as the parent).

Substance over form

The principle that transactions and other events are accounted for and presented by their substance and economic reality and not merely their legal form.

The tax base of an asset or liability

The amount attributed to that asset or liability for tax purposes.

**Taxable temporary differences**

Temporary differences that will result in taxable amounts in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled. These result in deferred tax liabilities.

Trade payables

The amounts due to credit suppliers.

Trade receivables

The amounts owed by credit customers.

Timeliness

Financial information should be available in time to be capable of influencing users' decisions.

Verifiability

Information is verifiable if different observers can broadly agree that a particular way of presenting an item is a faithful representation.

Understandability

Financial information needs to be capable of being understood by users 'having reasonable knowledge of business and economic activities and accounting'.

Useful life

One of two things:

- The period over which a depreciable asset is expected to be used by the entity, or
- The number of production or similar units expected to be obtained from the asset by the entity.



MANAGEMENT ACCOUNTING & CONTROL

Activity-Based Costing (ABC)

An approach to the costing and monitoring of activities which involves tracing resource consumption and costing final outputs. Resources are assigned to activities and activities to cost objects based on consumption estimates.

Administration costs

The costs of managing an organization.

Allocation

The process by which whole cost items are charged directly to a unit or cost center.

Avoidable costs

Costs that would not be incurred if the activity to which they relate did not exist.

Balanced scorecard approach

An approach to the provision of information to management to assist strategic policy formulation and achievement. It emphasizes the need to provide the user with a set of information which addresses all relevant areas of performance in an objective and unbiased fashion. The information provided may include both financial and non-financial elements, and cover areas such as profitability, customer satisfaction, internal efficiency, and learning and growth.

Budget

A quantitative statement, for a defined period, which may include planned revenues, expenses, assets, liabilities, and cash flows.

Budget manual

A collection of instructions governing the responsibilities of persons and the procedures, forms, and records relating to the preparation and use of budgetary data.

**By-product**

The output of some value produced incidentally while manufacturing the main product.

Cash budget

A statement in which estimated future cash receipts and payments are tabulated in such a way as to show the forecast cash balance of business at defined intervals.

Controllable costs

Items of expenditure which can be directly influenced by a given manager within a given period.

Cost behavior

How costs are affected by changes in the volume of output.

Cost driver

A factor is influencing the level of cost. It is often used in the context of ABC to denote the factor which links activity resource consumption to product outputs.

Cost pool

A grouping of costs relating to a particular activity in an activity-based costing system.

Cost, or expense, center

Any part of an organization that incurs costs.

Cost-volume-profit (CVP) analysis

The study of the interrelationships between costs, volume, and profit at various levels of activity.

Customer profitability analysis (CPA)

The analysis of the revenue streams and service costs associated with specific customers or customer groups.

**Data**

The raw material for data processing. Data relates to facts, events, and transactions.

Development costs

The costs incurred between the decision to produce a new or improved product and the commencement of the full manufacture of the product.

Differential cost

The difference in total cost between alternatives.

Direct cost

A cost that can be traced in full to the product, service, or department that is incurring the cost.

Direct labor costs

The specific costs of the workforce used to make a product or provide a service. Direct labor costs are established by measuring the time taken for a job, or the time is taken in 'direct production work.'

Direct labor efficiency variance

The difference between the hours that should have been worked for the number of units produced, and the actual number of hours worked, valued at the standard rate per hour.

Direct labor rate variance

The difference between the standard cost and the actual cost for the actual number of hours paid for.

Direct material costs

The costs of materials that are known to have been used in making and selling a product or providing a service.

Direct material price variance

The difference between the standard cost and the actual cost for the actual quantity of material used or purchased.

**The direct material total variance**

The difference between what the output cost and what it should have cost, in terms of material used.

Direct material usage variance

The difference between the standard quantity of materials that should have been used for the number of units produced, and the actual quantity of materials used, valued at the standard cost per unit of material.

Economic Order Quantity (EOQ)

The order quantity which minimizes inventory costs. The EOQ can be calculated using a table, graph, or formula.

Facility-sustaining activities

Activities are undertaken to support the organization as a whole and which cannot be logically linked to individual units of output.

Financing costs

Costs incurred to finance business such as loan interest.

Fixed budget

A budget that is set for a single activity level.

Fixed cost

A cost which is incurred for a particular period and which, within certain activity levels, is unaffected by changes in the level of activity.

Fixed overhead expenditure variance

The difference between the budgeted fixed overhead expenditure and actual fixed overhead expenditure.

The fixed overhead total variance

The difference between fixed overhead incurred and fixed overhead absorbed. In other words, it is the under- or over-absorbed fixed overhead.

**Fixed overhead volume capacity variance**

The difference between budgeted (planned) hours of work and the actual hours worked, multiplied by the standard absorption rate per hour.

Fixed overhead volume efficiency variance

The difference between the number of hours that actual production should have taken, and the number of hours taken (that is, worked) multiplied by the standard absorption rate per hour.

Fixed overhead volume variance

The difference between actual and budgeted (planned) volume multiplied by the standard absorption rate per unit.

Flexible budget

A budget that, by recognizing different cost behavior patterns, is designed to change as the volume of activity changes.

Full cost-plus pricing

A method of determining the sales price by calculating the full cost of the product and adding a percentage mark-up for profit.

Indirect cost, or overhead

A cost that is incurred in the course of making a product, providing a service or running a department, but which cannot be traced directly and in full to the product, service, or department.

Information

Data that has been processed in such a way as to be meaningful to the person who receives it.

Investment center manager

A manager who has some say in investment policy in their area of operations as well as being responsible for costs and revenues.

Job analysis

The 'systematic process of collecting and evaluating information about the tasks, responsibilities, and the context of a specific job' (Bratton).

**Job costing**

The costing method used where work is undertaken to customers' special requirements, and each order is of comparatively short duration.

Job evaluation

'A systematic process designed to determine the relative worth of jobs within a single work organization' (Bratton).

Job

A customer order or task of relatively short duration.

Joint products

Two or more products produced by the same process and separated in processing, each having a sufficiently high saleable value to merit recognition as a main product.

Just-in-time (JIT)

A system whose objective is to produce or to procure products or components as they are required by a customer or for use, rather than for stock. A JIT system is a 'pull' system, which responds to demand, in contrast to a 'push' system, in which stocks act as buffers between the different elements of the system, such as purchasing, production, and sales.

Just-in-time production

A system that is driven by demand for finished products whereby each component on a production line is produced only when needed for the next stage.

Just-in-time purchasing

A system in which material purchases are contracted so that the receipt and usage of material coincide to the maximum extent possible.

Kaizen

A Japanese term for continuous improvement in all aspects of an entity's performance at every level.

**Limiting factor**

Anything which limits the activity of the entity.

Management of accounting systems

Provide information specifically for the use of managers within an organization.

Management control

The process by which managers assure that resources are obtained and used effectively and efficiently in the accomplishment of the organization's objectives.

The margin of safety

The difference in units between the budgeted sales volume and the breakeven sales volume. It is sometimes expressed as a percentage of the budgeted sales volume.

Marginal cost

The variable cost of one unit of product or service.

Market penetration pricing

Adopting a policy of low prices when a product is first launched to obtain sufficient penetration into a market.

Market skimming

Involves charging high prices when a product is first launched and spending heavily on advertising and sales promotion to obtain sales.

Monopoly. One seller who dominates many buyers

The monopolist can use their market power to set a profit-maximizing price.

Objective

The aim or goal of an organization (or an individual).

Oligopoly

Relatively few competitive companies dominate the market. While each large company can influence market prices, the unpredictable reaction



from the other large competitors makes the final industry price indeterminate.

Operating statement

A regular report for the management of actual costs and revenues, usually showing variances from budget.

Operational control

The process of assuring that specific tasks are carried out effectively and efficiently.

Opportunity cost

The value of the benefit sacrificed when one course of action is chosen in preference to an alternative.

Outsourcing

The use of external suppliers as a source of finished products, components, or services. This is also known as contract manufacturing or sub-contracting.

Payback

The time required for the cash inflows from a capital investment project to equal the cash outflows.

Perfect competition

Many buyers and many sellers all dealing with an identical product. Neither producer nor user has any market power, and both must accept the prevailing market price.

Post-Completion Audit (PCA)

An objective, independent assessment of the success of a capital project about the plan. It covers the whole life of the project and provides feedback to managers to aid the implementation and control of future projects

Price Elasticity of Demand

Measures the extent of change in demand for a product following a change to its price.

**Principal budget factor**

The budgeted factor which limits the activities of an organization.

Process costing

A form of costing applicable to continuous processes where process costs are attributed to the number of units produced.

Production costs

The costs which are incurred by the sequence of operations beginning with the supply of raw materials and ending with the completion of the product ready for warehousing as a finished goods item.

Product-sustaining activities

Activities are undertaken to develop or sustain a product or service. Product sustaining costs are linked to the number of products or services, not to the number of units produced.

Profit center

Any section of an organization, for example, a division of a company, which earns revenue and incurs costs. The profitability of the section can, therefore, be measured.

Relevant cost of an asset

It represents the amount of money that a company would have to receive if it were deprived of an asset to be no worse off than it already is.

Relevant costs

Future cash flows arising as a direct consequence of a decision.

Research costs

The costs of researching new or improved products.

Residual income (RI)

Pre-tax profits less a notional interest charges for invested capital.

Responsibility accounting

A system of accounting that makes revenues and costs the responsibility



of particular managers so that the performance of each part of the organization can be monitored and assessed.

Responsibility center

A section of an organization that is headed by a manager who has direct responsibility for its performance.

Return on capital employed (ROCE)

Also called Return on investment (ROI). It is calculated as (profit/capital employed) x 100% and shows how much profit has been made about the amount of resources invested.

Revenue center

A section of an organization that creates revenue but has no responsibility for production. A sales department is an example.

Reward

‘All of the monetary, non-monetary, and psychological payments that an organization provides for its employees in exchange for the work they perform.’ (Bratton)

Risk-averse

Decision-maker acts on the assumption that the worst outcome might occur.

Risk

Involves situations or events which may or may not occur, but whose probability of occurrence can be calculated statistically and the frequency of their occurrence predicted from records

Risk neutral

The decision-maker is if he is concerned with what will be the most likely outcome.

Risk seeker

A decision-maker who is interested in the best outcomes no matter how small the chance that they may occur.

**Sales volume profit variance**

The difference between the actual units sold and the budgeted (planned) quantity, valued at the standard profit per unit. In other words, it measures the increase or decrease in standard profit as a result of the sales volume being higher or lower than budgeted (planned).

Scrap

Discarded material having some value.

Selling costs

Sometimes known as marketing costs, are the costs of creating demand for products and securing firm orders from customers.

Selling price variance

A measure of the effect on expected profit of a different selling price to the standard selling price. It is calculated as the difference between what the sales revenue should have been for the actual quantity sold, and what it was.

Semi-variable/semi-fixed/mixed cost

It is a cost that contains both fixed and variable components and so is partly affected by changes in the level of activity.

Standard cost

A predetermined estimated unit cost, used for inventory valuation and control.

Strategic information

They are used by senior managers to plan the objectives of their organization and to assess whether the objectives are being met in practice.

Strategic Management Accounting

A form of management accounting in which emphasis is placed on information which relates to factors external to the entity, as well as to non-financial information and internally generated information.

**Strategic planning**

The process of deciding on objectives of the organization, on changes in these objectives, on the resources used to attain these objectives, and on the policies that are to govern the acquisition, use, and disposition of these resources.

Strategy

A possible course of action that might enable an organization (or an individual) to achieve its objectives.

Sunk cost

A past cost that is not directly relevant in decision making.

Tactical information

Used by middle management to decide how the resources of the business should be employed, and to monitor how they are being and have been employed

Target costing approach

A process that begins with the development of a product concept and then the determination of the price customers would be willing to pay for that concept. The desired profit margin is deducted from the price, leaving a figure that represents total cost. This is the target cost.

Total Quality Management (TQM)

A philosophy that means that quality management is the aim of every part of the organization. The aim is to 'get it right first time' which means that there is a striving for continuous improvement to eliminate faulty work and prevent mistakes.

Uncertain events

Those events whose outcome cannot be predicted with statistical confidence.

Value-added cost

Costs incurred for an activity that cannot be eliminated without the customer's perceiving a deterioration in the performance, function, or other quality of a product.

**Variable cost**

A cost which tends to vary with the level of activity.

Variable production overhead expenditure variance

The difference between the amount of variable production overhead that should have been incurred in the actual hours actively worked, and the actual amount of variable production overhead incurred.

Variance

The difference between a planned, budgeted, or standard cost and the actual cost incurred.

Weighted average cost method of inventory valuation

An inventory valuation method that calculates a weighted average cost of units produced from both opening inventory and units introduced in the current period.

Zero-based budgeting (ZBB)

Involves preparing a budget for each cost center from a zero base. Every item of expenditure has to be justified in its entirety to be included in the next year's budget.



LAW

abate

To end, eliminate, do away with, or make null and void.

abide

To await and to accept or submit to.

ab initio

From the first act or the beginning.

acceptance

The act of voluntarily agreeing, expressly or by implication, to the terms of an offer, creating a contract. However, if the act modifies or adds to the terms of the offer, it is not an acceptance, but a counteroffer.

accession

The act of acceding or agreeing, especially when it involves the yielding of part or all of one's position.

Accommodation party

A person who, without any direct or indirect benefit, compensation, or consideration, co-signs a negotiable instrument as a favor to the person who owes them money and, thus, becomes liable on it to all parties except the accommodated party who, by implication, agrees to pay the instrument and to indemnify the accommodation party for any losses incurred in paying it. This is frequently done when the creditworthiness of the accommodated party does not satisfy the person taking the negotiable instrument or extending the credit.

accord

An agreement to satisfy a claim by some form of discharging the obligation other than what the obligee is, or considers himself entitled to.

**accord and satisfaction**

An accord that has been satisfied by the completion of the agreed-upon payment or performance. The completion of the accord extinguishes the original obligation that the obligee was, or considered himself, entitled to. Once satisfied, the subject of the accord can never be raised in any future legal action.

Acquiescence

Tacit or passive conduct that implies agreement or consent. For example, if one makes a statement and another is silent when an objection should be forthcoming, the second person's acquiescence to the statement may be inferred.

action

Any behavior, conduct, or series of acts by a person.

derivative action.

An action brought on behalf of a corporation by a shareholder when that corporation is entitled to bring an action and, deliberately or otherwise, fails to do so.

agency

A fiduciary relationship in which a person or entity acts, by mutual consent, for the benefit of another and bind the other party by words or deeds.

agent

One who, by mutual consent, is authorized to act for another.

agreement

A mutual understanding between two or more legally competent individuals or entities about their rights and duties regarding their past or future performances and consideration. While an agreement usually leads to a contract, it could also be an executed sale, a gift or other transfer of property, or a promise without a legal obligation.

**aleatory contract**

A contract in which the performance of at least one party depends upon the occurrence of an uncertain future event.

amendment

The addition, deletion, correction, or other changes proposed or made to a document.

ancillary

Auxiliary; collateral; dependant; supplemental; subordinate.

apportionment

The allocation, distribution, or division of something into proportionate shares.

appraisal rights

The statutory right available in most states for a corporation's minority shareholders who object to certain extraordinary corporate actions (the nature of which varies state to state, but usually includes consolidations and mergers) to have a fair price of their stock determined in a judicial proceeding prior to the action and to require the corporation to repurchase their stock at that price.

articles of incorporation

A written agreement setting forth the basic structure of a corporation. The document normally includes the name, duration, and purpose of the corporation; the names and addresses of its initial board of directors; and the number and classes of shares of stock that it will be allowed to issue. Normally, the corporation is not legally created until the articles of incorporation are filed with a state government.

assign

To transfer one's duty, interest, or right to another, especially regarding property or under a contract, so that the transferee has the same duty, interest, or right as the transferor had.

**authority**

The authorization, permission, power, or right to act on another's behalf and to bind them by such actions.

Actual authority. Authority, express or implied, intentionally given by a principal to an agent.

Apparent authority. The authority that can be reasonably inferred by a third party to have been given to an agent-based upon the third party's dealings with the principal or upon the principal's representations even if the principal did not intend to give the agency such authority.

bad faith

Dishonesty of purpose; lack of fairness and honesty; the continuous and willful failure to fulfill one's duties or obligation.

bargain

A voluntary agreement between parties for the exchange or purchase of goods or services, regardless of whether the transaction is legal or the consideration is sufficient for the agreement to constitute a contract.

bargain and sale

A written contract to convey the legal title of, and raise a use in, real property in exchange for valuable consideration recited in the agreement without requiring the parties to enter the land and perform a livery of seisin. Unless it includes a covenant of seisin and right to convey, the agreement contains no guarantees as to the seller's title to the property.

bearer

A person in possession of a negotiable instrument, a document of title, security, or another similar document that is marked "payable to bearer" or is indorsed in blank. Depending upon its nature, the document is called a bearer bond, bearer instrument, bearer paper, or the like, and, if it is for the payment of money, it is said to be payable to bearer.

**board of directors**

The governing body of a corporation elected by the shareholders to establish and carry out corporate policy, select the corporation's officers, make certain major decisions concerning the corporation's business and finances, and to oversee the corporation's operations.

breach of contract

A violation of a contract by either failing to perform one's contractual obligations or by interfering with another party's performance of their obligations.

by-law

A rule or administrative provision adopted by an association, corporation, or another body, subordinate to the body's articles of incorporation, charter, or constitution, that regulates the body's self-government and the rights and duties of its officers and members.

cancellation

The act, or the marks or perforations made in the act, of canceling something.

care

Serious attention, concern, interest, or regard. The level of caution and prudence demanded in the conduct of a person in a given situation. The appropriate level is determined by measuring the potential dangers in the particular situation, the risk that the person's actions might bring the risk to fruition, and the possible ways of minimizing or eliminating the risk. In some situations, the level of care owed is determined by statute.

Degree of care. The level of care to be exercised in a particular situation.

Due care. A phrase used to describe the level of care that an ordinarily reasonable, intelligent, and prudent person would use under the same or similar circumstances. For example, "Ina's



failure to exercise due care before the accident constitutes negligence.” Depending upon the seriousness of the particular situation and the known risks, due care may be reasonable care or a higher or lower degree of care.

The highest degree of care. The highest degree of care that a very attentive, watchful, and cautious individual would exercise when dealing with a particular situation. Among other things, this is the degree of care that trustees and other fiduciaries are required to exercise when carrying out their fiduciary duties - also called extraordinary care and the highest degree of care.

Reasonable care. The degree of care that an ordinarily reasonable, intelligent, and prudent person utilizing diligence and good judgment would exercise or reasonably be expected to utilize under similar circumstances.

causality

The relationship between an action or event and the effect that it produces.

caveat emptor

Let the buyer beware. The legal principle that, unless the quality of a product is guaranteed in a warranty, the buyer purchases the product as it is and cannot hold another liable for any defects. Statutes and court decisions concerning product liability and implied warranties have substantially altered this rule.

certificate of incorporation

A certificate issued by the state indicating that a corporation’s articles of incorporation have been filed, the corporation has come into existence, and that the corporation has the right to operate as a corporation.

**chattel**

Any tangible property that is moveable or transferable.

Chattel personal. Any moveable property, tangible personal property, or an intangible right in such property (such as a patent).

Chattel real. Any interest in real property less than a freehold or a fee (such as an easement).

Chattel mortgage. A lien on assets other than real estate that secures a loan.

check

A draft signed by a person (the drawer or maker) that directs a bank (the drawee) to pay, on-demand and without conditions, a specific sum of money to another person (the payee). Usually, the funds are withdrawn from an account or a deposit that the drawer or maker has with the bank.

Bad check. A check that is not honored by a drawee bank because it is forged, the account it is drawn on has insufficient funds or does not exist, or the check is in some other way defective.

Canceled check. A check with a notation (for example, the word “paid”) on it made by the drawee bank that indicates that the check has been paid.

Cashier’s check. A check is drawn by a bank upon its account rather than that of an individual depositor and made payable to another person, to the same bank, or a different branch of the same bank.

Certified check. A check with a certification or notation written upon it (for example, the word “certified”), indicating that the drawee bank has set aside sufficient funds from the drawer’s or maker’s deposit to guarantee payment of the check on demand.



NSF check. Abbr. Not sufficient funds check. A check that a drawee bank may not pay because the drawer has insufficient funds on deposit to cover it when it is presented for payment.

Raised check. A check whose face amount has been increased. Unless done with the agreement of the drawer or maker, the charge constitutes a material alteration and discharges the drawer or maker, as well as the drawee bank, from paying any amount on the check.

claim

A demand for money or property.

claimant

An individual or entity who asserts a right or demand for money or property.

coercion

Constrain or restrain by physical force or the threat of such force.

collateral

The property, including accounts, contract rights, and chattel paper that is subjected to a security interest in exchange for credit or as security for a debt.

collective mark

A service mark or trademark used by the members of an association, club, union, or another group to identify and distinguish themselves or their products or services. When referring to a collective mark that signifies membership in a group, also called collective membership mark.

commodity

Any tangible good or product that is the subject of sale or barter.

**company**

A group of individuals, such as an association, corporation, partnership, or union, associated for the purpose of carrying out, maintaining, or performing a commercial or industrial enterprise.

Compensation

Payment for work done, injury, loss, or otherwise depriving a person of something he or she is entitled to.

compilation

In copyright law, an assemblage of data or preexisting literary works that are selected and arranged in such a way that it results in an original work of authorship.

compromise

An agreement between two or more parties to settle differences between them by mutual concessions.

concealment

The act of hindering or preventing the discovery, knowledge, or sight of something.

Active concealment. The concealment by deeds or speech of something that one must reveal.

Fraudulent concealment. The failure to inform another of a material fact that one must reveal, with the intention that the other party relies upon the omission to his or her detriment.

Passive concealment. The concealment of something by maintaining silence when one must speak.

condition

A prerequisite or stipulation in an instrument.

conglomerate

A corporate entity that owns or otherwise controls a group of other



corporations that engage in unrelated businesses or industries.

consent

To acquiesce, agree, approve, assent, to voluntarily comply or yield, to permit to some act or purpose.

Express consent. Consent that is clear, definite, exact, and unmistakable.

Implied consent. Consent that is not specifically expressed, but that is inferred from one's conduct.

Informed consent. Consent is given after being completely advised of the nature, benefits, costs, and risks of a suggested course of action.

consideration

Something of value to either the promisee or the promisor of a contract (usually cash, but also property, a promise to do something or not to do something, and so on) that is given or will be given by the promisee to the promisor in exchange for a performance or a promise of a performance by the promisor. For the contract to be enforceable, the consideration must be something that the promisee, to his or her detriment or loss, is giving up or something that benefits the promisor.

Gratuitous consideration. The consideration that is neither a detriment or loss to a promisee nor a benefit to the promisor. For example, the promise to pay for an item with something worthless to both the promisee and the promisor is gratuitous consideration. A contract based on such consideration is unenforceable.

Illegal consideration. The consideration that contravenes the law, public policy, or public interest. For example, the promise to physically harm someone in exchange for an item is illegal consideration. A contract based on such consideration is unenforceable.



Nominal consideration. The consideration that is so small that it has no meaningful value in light of the performance or promise that it is being exchanged for.

Past consideration. Consideration consisting of an act performed or promised given in the past. For example, the promise to pay a debt that one is already obligated to pay is past consideration. A contract based on such consideration is usually unenforceable because, typically, the original performance was done, or the original promise was made for some reason other than to exchange it for the current performance or promise of the promisor.

Sufficient consideration. The consideration that is of a great enough value to be meaningful in light of the performance or promise that it is being exchanged for.

Valuable consideration. The consideration that is of a great enough value to be meaningful in light of the performance or promise that it is being exchanged for and that has measurable financial value to either the promisee or the promisor.

constructive

Something that, while not true, is imputed by the law to exist or to have occurred and treated as if it were so. For example, to say “I’m giving you my car” and to turn over the car keys would probably be considered a constructive delivery of the vehicle itself.

contract

Any legally binding agreement voluntarily entered into by two or more parties that places an obligation on each party to do or not do something for one or more of the other parties and that gives each party the right to demand the performance of whatever is promised to them by the other parties. To be valid, all parties must be legally competent to enter a contract, neither the objective nor any of the obligations or promised performances may be illegal, mutuality of the agreement and its obligations



must exist, and there must be a consideration.

Aleatory contract. A contract in which the performance promised by at least one party depends upon the occurrence of an uncertain future event. For example, a contract with an insurance company for the payment of proceeds if an injury is suffered in the future in an automobile accident.

Bilateral contract. A contract wherein each party is obligated to fulfill a promise made to the other party and is entitled to the completion of a promise made by the other party.

Oral contract. An express contract that is not in writing or has not yet been signed by the parties who will be obligated to do or not do something under its terms.

Voidable contract. A contract that can be voided at the will of one or more parties. The power to void the contract is not necessarily available to all the parties of the contract. For example, a person who is under the age of capacity can reject her rights and obligations under a contract and make it void without any repercussions, but until she does so, the contract is valid. However, an adult who entered that same contract cannot void it, and any attempt to do so will be a breach of contract and make her liable for damages.

Written contract. An express contract that is written and has been signed by the parties who will be obligated to do something or not do something under its terms.

contribution

The right of a debtor who has paid the entirety of a debt owed by her and others to recover the others' proportionate share of the debt.

cooperative

An organization or business enterprise, organized as either an association (cooperative association) or corporation (the cooperative corporation), owned by those who use its services. All profits are



shared amongst the cooperative's members in proportion to the money or labor each member contributed

copyright

The exclusive statutory right of literary (authors, playwrights, poets), musical (composers, musicians), visual (painters, photographers, sculptors), and other artists to control the reproduction, use, and disposition of their work, usually for their lifetime plus seventy years.

corporate opportunity doctrine

The principle that the directors, officers, employees, and agents of a corporation may not use any information obtained in their corporate capacity to exploit for their benefit a business opportunity that belongs, or should in fairness belong, to the corporation.

corporate veil

The legal principle that a corporation is distinct from its owners and that the corporation's shareholders are not personally liable for the corporation's acts and debts.

corporation

An entity, usually a business, created by a legislative act or by individuals who have agreed upon and filed articles of incorporation with the government. Ownership in the corporation is typically represented by shares of stock. Furthermore, a corporation is legally recognized as an artificial person whose existence is separate and distinct from that of its shareholders who are not personally responsible for the corporation's acts and debts. As an artificial person, a corporation has the power to acquire, own, and convey the property, to sue and be sued, and such other powers of a natural person that the law may confer upon it.

Close corporation. A corporation owned by a single individual or a small group of individuals, often all personally involved in the corporation's business or related to another, who frequently conduct the corporation's business without such formalities as annual shareholder meetings, and whose share of stocks cannot



be sold to anyone outside the group without the prior permission of the other shareholders.

Domestic corporation. A corporation whose articles of incorporation have been filed in the country.

Dummy corporation. A corporation whose sole purpose is to conceal the owners' identities and to protect them from personal liability.

Foreign corporation. A corporation whose articles of incorporation have been filed in another country.

Nonprofit corporation. A corporation organized for a charitable, cultural, educational, religious, or some other purpose other than making a profit or distributing its income to its shareholders, officers, or others similarly affiliated with it.

Nonstock corporation. A corporation in which ownership is conferred by a membership charter or agreement that governs the owners' rights and liabilities rather than by the ownership of shares of stock.

Private corporation. A corporation created and owned by private individuals for a nongovernmental, usually business, or nonprofit purpose.

Public corporation. A corporation created by the government and, while often financially independent of the government, engages as a government agency in activities that benefit the general public.



Publicly held corporation. A corporation whose shares of stock are sold to freely traded amongst, and owned by a diverse group of shareholders who are members of the general public.

Shell corporation. A corporation that has no business or ongoing activity (and sometimes no substantial assets) of its own and is typically used to conceal another corporation's business activities.

Subsidiary corporation. A corporation in which a parent company owns enough shares to control its activities and the selection of its officers and directors.

course of performance

The pattern of completing a recurring obligation under a contract when all parties are aware of the nature of the obligation and have had the opportunity in the past to object to how it is done. If a dispute later arises regarding the performance of that obligation, and there was no previous objection, the courts will look to the course of performance to determine how the parties intended the obligation to be completed.

creditor

One to whom money is owed or who gives credit to another.

Secured creditor. A creditor who has been given or pledged collateral to protect against loss if the debtor fails to pay the debt owed fully.

Unsecured creditor. A creditor who is not a secured creditor.

damages

Financial compensation demanded by or directed by a court to be paid to a claimant as compensation for a financial loss or injury to person or property.

Actual or compensatory damages. Damages intended to compensate for a quantifiable loss.



Consequential damages. Damages resulting indirectly from the act complained of.

debenture

A corporate debt secured by the revenues, reputation, and credit standing of the debtor and that lacks a security interest in other property; an instrument that embodies this type of debt.

debt

A specific sum of money due as a result of a written or verbal agreement or by operation of law.

debtor

One who owes a fixed sum of money to another.

Joint debtors. Two or more persons both liable for the same debt.

deem

To consider or assume that a thing has the attributes or qualities of something else, for example, for certain legal purposes, a corporation is deemed to be a person.

de facto

In fact. Description of a person or action that exists for all intentions and purposes, but which lacks official legitimacy.

defective

Of a product or process, that it contains an error or flaw affecting performance, of a pleading or document, that it contains a shortcoming potentially causing its invalidity or leading to its dismissal.

delegation

The act of granting another the power to act on one's behalf in an official capacity.

delinquent

A person who fails to perform a legal or contractual obligation.

**delivery**

The act of granting legal possession, custody, or control of something to another; the thing so transferred.

Constructive delivery. Absent actual delivery of goods or item, an action or communication which conveys property to another, even if actual possession is not taken, as opposed to actual delivery, which is complete upon transfer of property, or conditional delivery, in which property is delivered, but ownership is subject to further action, e.g., payment.

demand

A claim for money or other relief or the assertion of a legal right.

derivative action

Litigation brought by a shareholder on behalf of a corporation against an officer, on the theory that the corporation is powerless to act on its behalf.

derivative work

In copyright, a work that is based on another, in whole or part, in the same or another medium, such as a sequel to a novel or a live musical based on a movie. A derivative work cannot be published without the permission of the creator of the original, or the permission of any successor to the creator's rights.

diligence

The effort required to carry out a responsibility or to meet a standard of care.

Due diligence. A thorough review of documents, financial statements, and other relevant information about a proposed corporate transaction such as an acquisition or merger; lack of due diligence by one undertaking an examination of books and records may give rise to liability of that individual if the entity being acquired has a lower value than expected.

**director**

Of a corporation, an individual selected to serve on its board of directors and thereby oversee the management of its affairs.

discharge

A debtor's release from a debt upon payment in full or upon adjudication of bankruptcy.

dishonor

To refuse to pay a claim embodied in a written document, such as a check or other negotiable instrument, when presented.

dissolution

The termination, cessation, or winding up of a legal entity such as a corporation or partnership; the consensual or judicially ordered undoing of a contract by placing the parties back into the positions they held before entering into it; the termination of a marriage.

dividend

A distribution of shares or money made by a corporation to its shareholders, representing a pro-rata percentage of the company's earnings.

drawee

A person or entity to whom a draft is sent, instructing him or her to release funds to the payee.

drawer

The maker of a draft or check.

earnest money

A down payment, typically for real estate that demonstrates the prospective purchaser's intent to proceed with the transaction.

effective date

The date as of which a contract or other instrument, or a law, enters into force.

embezzlement

The illegal taking of property under one's care, particularly property to which one has a public trust or fiduciary duty.

**encumbrance**

A financial obligation, such as a mortgage, that is attached to or burdens a property right and is transferred with that right.

entire contract

A contract that must be performed in its entirety; its parts are not severable from one another; a description of a contract that is complete.

estoppels

A doctrine that holds, under certain circumstances, that a claim or assertion cannot be made if it contravenes a prior claim or assertion of the same party, or if it contradicts the factual holding of a court whose decision is not directly binding on the parties.

Ex.

Latin. Previous, from.

execute

To sign a contract, will, or another legal document; to carry out a duty; to recover funds under a judgment; to put a criminal defendant to death.

factum

From Latin, it means a fact or an action.

failure of consideration

The doctrine that a contract is unenforceable where there is no reciprocity of benefits because one party has given nothing in return for what he or she has received; the circumstances under which a contract becomes unenforceable for such a lack of reciprocity.

fair use

Copyright law: the doctrine that one may use a small portion of a copyrighted work without the author's permission, in scholarly works, reviews, or other contexts where the use is considered reasonable and limited.

fault

A negligent or intentional failure to act reasonably or according to law or duty.

**fiduciary**

An individual owes another a legal duty of care and good faith in the management of a business, money, or property; for example, a corporate officer or the executor of a will.

fiduciary relationship

A legally defined relationship in which one individual acts as a fiduciary protecting the interest of the other (for example, an attorney and client, or a trustee and beneficiary).

forbearance

the act of delaying enforcement of a legal right, as with a creditor who grants the debtor extension of time to pay.

for cause

Of an action, such as the termination of a contract or a relationship of employment, that it is based on a breach, misfeasance, or other inappropriate action of the other party.

force majeure

French. Greater force; a natural or human-induced disaster that causes a contract to fail of performance.

foreclosure

An action brought by the holder of a security interest in the property to terminate the owner's interest to take possession of or to sell the property in satisfaction of the secured debt.

forfeiture

The loss or compulsory transfer to another, without compensation, of a right or property interest, usually as a penalty.

forgery

A false banknote, document, work of art, or other imitation of a thing of value, created to be passed off as real, the act of creating such an object.

**franchise**

A right granted by or under the legislation, particularly the right to vote; the exclusive right under a licensing agreement to utilize a trademark and distribute the trademarked products or services in a particular area.

fraud

An intentional misrepresentation uttered to cause another to rely on it to his detriment.

Constructive fraud. A misrepresentation deemed by the law to be fraud even though unintentional.

Fraud in the factum. The nature of a legal document is misrepresented to a party who is induced to sign it based on an incorrect understanding of its nature.

Fraud in the inducement. A party is induced to sign a contract by misrepresentation, not of the terms of the contract itself, but the level of risk or the surrounding circumstances.

fraudulent conveyance

A transfer of real property to another, typically lacking any or significant consideration, made to protect the property from a creditor who would otherwise seek its sale or forfeiture.

freedom of contract

The right of individuals to consent to binding contracts without government intervention.

fungible

Of goods or products, that they are all of a kind, not unique, and replaceable by other goods of the same kind; for example, crops are fungible while a painting by Rembrandt is not.

generic

In trademark law, a term or phrase that is merely descriptive and cannot be trademarked.

**generic name**

A word or phrase that cannot be trademarked because it is only descriptive of a product or service.

good faith

A party's state of mind in acting or carrying out an action or transaction, evincing honesty, fairness, full communication of any hidden issues or information, and an absence of intent to harm other individuals or parties to the transaction.

holder

An individual or entity that has an ownership or legal possession of a negotiable instrument, security, or another document of title.

holder in due course

One who has given value in exchange for the possession of a negotiable instrument and is unaware of any defects in title.

implied authority

Authority of an agent inferred from surrounding circumstances, such as the principal's previous acquiescence to the exercise of similar authority.

implied contract

A contract inferred from the actions of the parties.

incorporation

The process of forming a business corporation.

indebtedness

The condition of owing money to another.

indemnify

To promise to make good another's financial loss or liability resulting from a particular event or contingency.

indemnity

A duty, typically arising from contract, in which one promises to make good another's financial loss or liability, resulting from a particular event or contingency.

infringement

Violation of a copyright, patent, or trademark.

**in pari delicto**

Latin. At equal fault.

in pari material

Latin. On the same topic or about the same subject matter.

insolvency

The status of being unable to pay one's debts when due.

installment sale

A contract for the sale of goods such as furniture, in which the purchaser makes periodic payments, and the seller retains a security interest in the goods until paid in full.

instrument

A written legal document was defining the parties' rights and liabilities to one another.

joint

An ownership interest or expectation shared by two or more individuals, as in a bank account or an estate.

joint account

A bank account in the name of two or more individuals, each of whom has an undivided right to the entire balance.

Joint and several liabilities. Responsibility for a loss that is borne both individually and collectively by a group of defendants.

joint ownership

Undivided ownership of the whole of an asset by two or more individuals. Upon the death of anyone, his or her rights pass to the surviving owners rather than to the heirs of the decedent.

lapse

The termination or expiration of a right because it has not been exercised or because of the occurrence or nonoccurrence of some contingency.

**maker**

A person who issues a promissory note.

meeting

A gathering of persons for a specific purpose.

Annual meeting. Corporate law, a yearly gathering of board of directors to which stockholders are invited.

Special meeting. Corporate law, gathering for a special or limited purpose.

misapplication

The illegal misuse of money or property in lawful keeping.

misappropriation

The act of taking improperly, including the use of another, 's property or work.

misfeasance

Generally, an act of wrong-doing.

misrepresentation

A false statement typically made to mislead.

mortgage

A grant of a security interest in real property to secure a loan, often for the purchase of the property.

mortgagee

The lender or creditor was extending the loan involved in a mortgage.

mortgagor

The owner of the real property involved in a mortgage.

mutuality of obligation

The consent by both parties to a contract to pay, yield or give up something in return for the benefits received.

**mutuality of remedy**

The doctrine that specific performance must be available to both parties to a transaction for either to obtain it.

negotiable instrument

Writing that meets certain criteria, such as that it contains an unconditional promise to pay a specified amount on demand or at a particular date to the bearer or a particular person, and it is signed by the person making it.

notice of dishonor

Notice that payment of a note or other commercial paper is being refused.

novation

In contract law, the replacement of an old obligation with a new one.

nudum pactum

Latin. A bare or scant agreement that is not enforceable because consideration is lacking.

obligation

A moral or legal duty to perform or to not perform some action. 2 A binding, formal arrangement, or an agreement to a liability to pay a specified amount or to do a certain thing for a person or group of persons.

oblige

To legally or morally bind, to obligate. 2 To bind someone by performing a service for that person.

oblige

The person who is owed an obligation, generally a sum of money or a service.

obligor

The person owed them money, service, or goods.

option

A contract to keep an offer open for a specified period so that the person making the offer cannot suddenly withdraw it during that period

**partnership**

A voluntary joining of two or more persons to jointly carry on and profit from a single business. A partnership is presumed to exist if the persons have agreed to proportionally share the losses and profits from that enterprise.

patent (of the invention)

The granting of a right or authority; the document granting that right or authority; an exclusive right to make, use, or sell an invention granted to the inventor of a unique device or process for a specified period (usually 20 years).

payee

Any person to whom a debt is to be paid, one to whose order a check or other negotiable instrument is made out.

payer (or payor)

A person who pays a debtor who is obliged to pay a debt by some written instrument.

payment

Delivery of funds in settlement of a claim or debt; fulfillment of a monetary obligation.

payment in due course

The payment of a negotiable instrument to the holder on or after its due date in good faith by the payer and with no notice of any defect in title.

pecuniary

We are having to do with, or relating to, money.

penalties

Punishment in the form of fines or prison terms imposed on wrongdoers. Although normally applied in criminal cases, there are some cases of civil misdeeds for which a penalty (as distinct from a remedy) may be imposed. 2 Damages imposed by a contract for failing to meet a certain obligation, such as completion by the agreed-upon date.

**performance**

The successful fulfillment of a contractual obligation.

Part performance. Partial fulfillment of obligations under a contract.

Performance clause. A distinct section or provision of a legal document or piece of legislation.

Specific performance. The requirement of performance of obligations as stated in terms of an agreement, according to the exact requirements, on theory that compensation in damages would be inadequate to give the recipient of the performance the “benefit of the bargain.”

per quod

Latin. Whereby. Having meaning only by reference to outside facts, such as on proof of injury or some compensable damages. The opposite of per se.

per se

Latin. By or through itself. Standing alone; on its own merits; without need for reference to outside facts. The opposite of per quod.

person

An entity, such as an individual, or, under law, an incorporated group with certain legal rights and responsibilities; a human being; the live body of a human being.

personal property

Property that is movable, unlike real estate or things attached to the real estate. However, things attached to real estate may be considered as personal property, also known as personality, if they can be relocated without doing irrevocable damage - a shed, perhaps, or even a mobile home. Personal property encompasses the tangible and intangible non-real property.

**piercing the corporate veil**

Charging normally immune corporate officers, shareholders, and so on with personal liability for the corporation's wrongdoing.

pledge

An item of property given as security for a debt or performance.

portfolio

The total of the securities (consisting of stocks, bonds, certificates of deposit, and so on) held by an individual at any one time.

possession

You are exercising dominion over property, having custody and control of the property.

Actual possession. Immediate physical control.

Adverse possession.

Constructive possession. Having the power and intention of exercising control and dominion of real property but lacking actual presence on or direct control of the same.

possessory action

A lawsuit was undertaken to gain physical possession of premises or other real property, but not to take title to it. A possessory action may be instituted to evict a tenant who overstays a lease's term, or who is behind in payments.

power of attorney

A written instrument whereby someone is granted the right to perform certain acts as the agent of the grantor; that is, acting on the grantor's behalf.

preemptive right

The right of existing shareholders in a corporation to have the first opportunity to buy new shares when issued.

prima facie

Latin. At first sight. Not in need of further support to establish credibility or existence; obvious, unless disproved.

**quasi**

Latin. Alike in some sense, but not in actuality, resembling something but not being it; nearly; almost like.

quorum

The number of persons who must be present in a group for official action to be taken.

ratification

Affirmation or approval; adoption of an action that was done on one's behalf and treating that action as if it had been authorized by that person before the fact of it having been done. By ratifying an act or action, a person becomes responsible for the consequences of that act or action.

real property

Land, including whatever is attached to its surface, such as buildings, trees, and so on; everything beneath its surface, such as minerals; and the air space above it. This is distinct from personal property, which is movable.

record date

The date by which a corporate shareholder must be registered to be eligible to receive dividends or to vote on company business.

recourse

A course of action for enforcing a claim; the right of the holder of a note to demand full payment of that note if the terms are not fully honored; the right to be repaid from the borrower's.

reformation

A rewriting of a deed or contract that does not express what was agreed upon, only when it can be demonstrated in a clear and convincing manner that a mutual mistake was made.

refusal

Rejection of goods or denial of services to which a person is entitled; not



completing a contract by either non- acceptance or nonpayment for goods or services

remedy

The way a right is enforced or an injury is redressed - most commonly by the imposition of monetary damages.

rescind

To cancel a contract, whether unilaterally or by mutual agreement, and restore both parties to status quo ante (the positions they would have been in if the contract had never existed).

rescission

The termination of a contract unilaterally by a party for substantive legal reasons, such as the failure of the other party to perform its obligations; or, the mutual termination of a contract, with the result that both parties are restored to the status quo ante; a remedy that one may seek in a court of equity that results in a termination of the contract as though it had never existed.

restitution

Making good for loss, damages, or injury, by indemnifying the damaged party; return or restoring something to its lawful owner.

sale

A transfer of property or title in exchange for a sum of money; the agreement or contract by which such a transfer takes place. A sale requires a free offer in exchange for a freely agreed-upon purchase price between two individuals who are competent to contract with each other, and who have mutually agreed to the deal.

Conditional sale. A sale subject to certain events occurring, for example, a transaction to sell one's home, conditioned upon the sale by the buyer of his own home. Also known as a contingent sale.

**satisfaction**

A giving of something to release oneself from, or to satisfy, some outstanding obligation, be it legal or moral. Satisfaction requires the giving of one thing for another and should be distinguished from performance, which requires only the promising to give something.

scope of authority

In the law of agency, whatever amount of authority an agent has been delegated or might reasonably be expected to be delegated to carry out his/her principal's business.

secured creditor

A creditor who is holding security in the form of a lien sufficient to cover the amount that the debtor owes.

secured transaction

Any business transaction involving the title to the property as collateral for the borrowing of money.

securities

Stocks, bonds, and the like; any instrument of secured indebtedness or of a right to participate in the profits or assets of a profit-making concern.

seller

A vendor; one who sells or initiates contracts to sell goods; the one who transfers property as a result of a sales contract.

settlement

An agreement achieved between the adversaries before judgment in a trial or before the trial begins, thereby obviating the need for it; completed payment of a debt or contractual obligation.

share

A certain predetermined portion.

share certificate

A document was evincing stock ownership.

**shareholder**

A person who owns one or more shares of stock in a joint-stock company or a corporation

solemnity of contract

A concept that it is all right for two people to enter into a contract for anything they wish to, and as long as the proper formalities are observed and no defenses exist against it, that contract is enforceable and should be respected.

subscription rights

The contractual right of a shareholder in a corporation to buy additional shares of stock of the same kind that she currently holds if and when such are issued by the corporation before that stock is offered to the general public.

substantial performance (compliance)

A doctrine in equity that if a good faith attempt was made to perform the requirements of a contract, but failed to meet the specifics exactly, and if the essential aim of the contract has been met, the agreement will still be considered as having been completed.

tender

An unconditional offer of performance to satisfy a debt. It may be offered to save the party making the tender from a penalty for nonpayment or lack of performance. On the other hand, if the other party should refuse the tender without a justifiable reason, that party may be placed in default.

Tender of delivery. The placement by a seller at the disposal of the buyer, that is, arranging delivery of those paid for goods promptly.

tender offer

A corporate law offers to buy all shares of a corporation's stock up to a certain number by shareholders at a fixed price (usually higher than market value) within a certain period.

**trademark**

Any phrase, name, word, or graphic logo used by one manufacturer or marketer to distinguish its products from those of all others.

tradenname

The name under which a company or person does business. Note that a tradenname (or commercial name) applies to a business and its goodwill, as distinct from a trademark, which applies only to a marketable commodity.

ultra vires

Latin. Over, or outside of powers, that which is beyond a corporation's or an agency's authorized power.

valid

Legally binding, such as a valid agreement.

void

Of no legal effect; empty; unenforceable; those provisions do not affect whatsoever.

voidable

Able to be later voided or nullified, a valid act that may achieve what its purpose was until its fatal flaw is discovered or takes effect and causes it to be voided. For example, a minor may agree with a book club and not by the number of books she contracts to. When the book club tries to recover the remaining part of the contract, the minor repudiates it, and it becomes void, because a minor may not make a valid contract.

voting

The casting of ballots to decide an issue; usually used to refer to the casting of votes to elect officials or to decide a question on the ballot.

Voting trust. Entrustment by a group of stockholders in a corporation of their votes to a trustee, who shall be empowered to act on their behalf.

**voting right**

The right of a shareholder to cast a vote in the election of corporate officers and to vote at meetings to decide corporate policy or transactions.

waive

To voluntarily give up, abandon, or surrender a right, privilege, or claim. Usually, a right may only be waived if the person so doing has full knowledge of what the consequences might be.

want of consideration

The lack of consideration in exchange for goods or services may form the basis for a contract to be unenforceable.



TAXATION

Principles of taxation

Constitutional limitations on the power of taxation

These are provisions in the constitution that may either diminish or affect the supreme, plenary, unlimited, and comprehensive exercise by the State of its inherent power of taxation. They are designed to safeguard the interest of the subjects of taxation to the end that the exercise of that power shall redound for the common good, which, after all, is the principal aim of the government.

Contractual limitations on the power of taxation

These are restrictions on the taxing power imposed by previously existing contracts entered into by the government with another party who may be another state or its citizens.

The claim of right doctrine

A taxable gain is conditioned upon the presence of a claim or right to the alleged gain and the absence of a definite unconditional obligation to return or repay that which would otherwise constitute a gain. The person who receives the money has no restriction as to its disposition.

Double taxation

Comes about when both taxes were imposed in the same taxable year for the same purpose, upon property owned by the same person within the territory and by the same taxing authority, or taxing twice for the same purpose, in the same year of the property in the territory in which tax held, without taxing all of it.

The doctrine of ownership, command or control of income

The power to dispose of income is the equivalent of ownership of it. The exercise of that power to procure the payment of income to another is the enjoyment and the realization of the income by him who exercises it. The dominant purpose of the revenue laws is the taxation of income to those who earn or create the right to receive it and enjoy the benefit of its when paid.



Economic benefit theory

The flow of wealth realized is taxable only to the extent that the taxpayer is economically benefitted.

The flow of wealth test

The essential difference between capital and income is that capital is the fund, whereas income is the flow of wealth coming from such fund; labor is the tree, income is the fruit. Income is the flow of wealth other than as a mere return of capital. It is the fruit (income) that is taxable and not the capital. The determining factor for the imposition of income tax is whether any gain was derived from the transaction.

Under this theory, taxation is established on a realization, rather than on an accrual basis. The increase in the value of the capital asset is taxed only when the property is sold, and the increased value is reflected in a flow of money to the owner, rather than based on annual revaluation of assets

Realization theory

Under this theory, revenue is generally recognized when both of the following conditions are met: (a) the earning process is complete or virtually complete, and (b) an exchange has taken place. This principle requires that revenue must be earned before it is recorded. Under this theory, any movement of the property from one person to another is always a tax event.

Severance test theory

Under this theory, there is no taxable income until there is a separation from the capital of something of exchangeable value, thereby supplying the realization which would result in the receipt of income. Income is not taxable unless separated or severed from the capital or labor that bore it. This theory maintains that for, to be taxable, there must be a separation of capital and gain.

**Substantial alteration test**

Income to be returnable for taxation must be fully and completely realized. When there is no separation of gain or profit or separation of the increase in value from the capital, there is no income subject to tax.

There must be an exchange of something received, which is essentially different from that which was parted to the extent of benefit received.

The doctrine of international comity

The property of a foreign government may not be taxed by another. This principle is based on the sovereign equality among states under international law because of which, one state cannot exercise its sovereign power over another and the rule that a foreign government may not be sued without its consent.

Rule of tax reciprocity

Our government will grant tax privileges to a subject of another country provided (a) in that foreign country there exist a same or similar tax and (b) our citizen in that foreign county is also granted the same or similar privileges.

Schedular tax

Is the tax rate provided under the Tax Code that is to be used in computing tax due to the government.

Onward shifting

This happens when the tax is shifted two or more times, either forward or backward.

Situs of taxation

It means a place of taxation. The basic rule is that the state where the subject to be taxed as a situs may rightfully levy and collect the tax, and situs is necessarily in the state which has jurisdiction or which exercises dominion over the subject in question.



Theory of taxation

The power of taxation proceeds from the theory that the existence of government is a necessity and the grant of protection and benefits by the State to its citizens. Without the funds, the government cannot continue to pay its expenses, support itself and deliver basic services to the people, and because of this it has a right to compel all its citizens, residents, and property within its limits to contribute.

Equity in taxation

This concept requires that apportionment must be more or less just in the light of taxpayers' ability to shoulder the tax burden and, if warranted, based on the benefits they received from the government or in proportion to the relative value of the taxable property.

It means that the tax must be imposed as much as possible on the taxpayer's ability to pay. Taxation is equitable, where the burden falls on those who are better able to pay. If the amount imposed is excessive or unreasonable, it is inequitable.

Vertical equity

Connotes a difference in the tax treatment between those who are financially well-off and those who have relatively less. To tax those who have more in life than those who have relatively less.

Horizontal equity

This implies that those who are similarly situated in life should be taxed similarly.

Escapes in taxation

These refer to the methods or means of transferring, reducing, avoiding, or evading the burden of taxation.

Capitalization

The seller is willing to lower the price of the commodity provided the taxes will be shouldered by the buyer.

**Shifting**

The process of transferring the tax burden from the statutory taxpayer to another without violating the law.

Transformation

The manufacturer absorbs the additional taxes imposed by the government without passing them to the buying public for fear of loss of his market. Instead, he increases the quantity of production, turning his units of production at a lower cost resulting in the transformation of the tax into a gain through the medium of production.

The inherent power of limitation

These are natural restrictions on the exercise of the power of taxation; they are adequate safeguards ensuring that the power of taxation shall be utilized by the government only for the betterment of the people whose interest it is bound to serve, enhance and protect.



Income Tax

Accounting period

It is a fixed period, consisting of 12 months, upon the basis of which the taxable income is computed and the income tax imposed.

Allowable deductions

These are matters of legislative grace and not a matter of right. A taxpayer can only deduct an item or amount from gross income if there is a law authorizing such a deduction. In the absence of a law, the expense of the taxpayer, whether business/professional related, reasonable, equitable, or ordinary and necessary, cannot be deducted from gross income.

Special deductions

These deductions are granted since there are laws applicable and transactions peculiar to them only; these are in addition to the itemized deduction allowed by law.

Itemized standard deductions

Items or amounts which the law allows to be deducted from gross income to arrive at taxable income. In claiming deductible expenses, the taxpayer lists down the specific types of expenses and substantiates them by receipts and other evidence. There is no limit to the amount that may be claimed for as long as they are directly related to the trade, business or exercise of the profession. Estates and trust are also allowed to claim additional deductions.

Cohan rule

The BIR has the power to disallow 50% of the expenses claimed on the condition that there was an expense paid or incurred, but there was no document showing that this expense was indeed paid or incurred. Belief by the BIR as to such an expense is sufficient.

The calendar year

It is an accounting period of twelve months that ends on the last day of December.

**Co-ownership**

This may arise in the following cases: (a) when 2 or more heirs or beneficiaries inherit an undivided property from a decedent, or (b) when a donor made a gift of an undivided property in favor of 2 or more donees or (c) when 2 or more persons contributed voluntarily to a common fund to purchase an undivided property, not for business purposes.

De minimis benefits

These are benefits received by an employee from his employer, which are exempt from fringe benefits tax and withholding tax on the compensation of managerial, supervisory, rank, and file employees. In general, they are limited to facilities furnished or offered by an employer to his employees that are relative of small value and are offered or furnished by the employer merely as a means of promoting health, goodwill, contentment, or efficiency of his employees.

Fiscal year

It is an accounting period of twelve months that ends on the last day of any month other than December.

Acquisition cost

For newly acquired machinery not yet depreciated and appraised within the year of its purchase, it refers to the actual cost of the machinery to its present owner plus the cost of transportation, handling, and installation at the present site.

The adjusted basis on the property

The original cost to acquire the property plus the amount spent to improve the same and other capital expenditures made to increase the value of the property or materially prolong the life of the property less accumulated depreciation up to the date of sale or disposition of said property.

Compensation income

All remuneration for services performed by an employee for his employer under an employer-employee relationship, unless specifically excluded.

**Compensation income earners**

Individuals whose source of income is purely derived from an employer-employee relationship.

Employee

An individual performing service under an employer-employee relationship. This term covers all employees, whether elected or appointed of the government.

Employer

Any person for whom an individual performs or performed any service, of whatever nature, under an employer-employee relationship. It is not necessary that the services be continuing at the time the wages are paid so that the status of the employer may exist. Thus, for purposes of withholding, a person for whom an individual has performed past services and from whom he is still receiving compensation is an employer.

Employer and employee relationship

Exists when a person for whom services were performed (employer) has the right to control and direct an individual who performs the services (employee), not only as to the result of the work to be accomplished but also as to the details, methods, and means by which it is accomplished. An employee is subject to the control of the employer not only as to what shall be done but how it shall be done. It is not necessary that the employer exercises the right to direct or control how the services are performed. It is sufficient that there exists a right to control the manner of doing the work.

Fringe benefits

Means any good, service or other benefit furnished or granted in cash or in-kind other than basic compensation, by an employer to an individual employee (except rank and file employee) such as, but not limited to housing, expense account, vehicle of any kind, household personnel (maid, driver, etc), interest on loan at less than market rate to the extent of the difference between the market rate and actual rate granted, membership fees, dues and other expenses borne by the employer for the



employee in social and athletic clubs, expenses for foreign travel, holiday and vacation expenses, education assistance to the employee or his dependents, life or health insurance and other non-life insurance premiums.

Gross receipts

The total amount of money representing the contract price, compensation, service fee, rental or royalty, including the amount charged for materials supplied with the services, and deposits and advance payments actually or constructively received during the taxable period for the services performed or to be performed for another person, except returnable security deposits.

Gross sales

Total sales transactions, net of VAT, reported during the period, without any other deduction. However, gross sales subject to the 8% income tax rate option shall be net of the following deductions: (a) sales returns and allowances for which a proper credit or refund was made during the month or quarter to the buyer for sales previously recorded as taxable sales; (b) discounts determined and granted at the time of sale, which is expressly indicated in the invoice, the amount forming part of the gross sales duly recorded in the books of accounts. Sales discount indicated in the invoice at the time of sale, the grant of which is not dependent upon the happening of a future event, may be excluded from the gross sales within the same month/quarter it was given.

Minimum wage earner

Refers to the worker in the private sector who is paid with statutory minimum wage rates, or to an employee in the public sector with compensation income of not more than the statutory minimum wage rates in the non-agricultural sector where the worker/employee is assigned. The statutory minimum wage rate is exempted from income tax. The exemption covers the holiday pay, overtime pay, night shift differential, and hazard pay earned by a minimum wage earner.

**Mixed-income earner**

Individual earning compensation income from employment, and income from business, practices of the profession.

Non resident alien engaged in trade and business

A non-resident alien who shall come to the Philippines and stay for an aggregate period of more than 180 days during any calendar year.

Nonresident alien NOT engaged in trade and business

A non-resident alien who shall come to the Philippines and stay for an aggregate period of 180 days or less during any calendar year.

Rank and file employee

Employee holding neither managerial nor supervisory position.

Self-employed

A sole proprietor or an independent contractor who reports income earned from self-employment. He/she controls who he/she works for, how the work is done, and when it is done. It includes those hired under a contract of service or job order and professionals whose income is derived purely from the practice of the profession and not under an employer-employee relationship.

Professional

A person formally certified by a professional body belonging to a specific profession by having completed a required examination or course of studies and practice, whose competence can usually, against an established set of standards. It also refers to a person who engages in some art or sport for money, as a means of livelihood rather than as a hobby.

Taxable income

Refers to the items of gross income specified in the Tax Code, less deductions, if any, authorized for such types of income by the Tax Code.

Zonal value of real property

It is the market value of the land-based on a comparison of market values submitted by the BIR, Department of Finance, and the private sector



represented by the two biggest associations of realty brokers. The average of the two highest values shall be the valuation amount.

Worthless equity of investment

This is classified as a capital loss instead of a bad debt. Where an equity investment in an insolvent subsidiary or corporation has become worthless, it is a capital loss to an entity that is not a dealer in securities. Hence, the losses resulting can only be deducted from capital gains derived in the same taxable year that the securities have become worthless.

Withholding tax on wages or compensation

An employer deducts and withholds the approximate tax on the wages of an employee, including wages paid to non-resident alien individuals engaged in trade or business in the Philippines.

Withholding tax under the expanded withholding tax system

It is a system of collecting income tax on the income payment paid to individual and corporate taxpayers by the payers who are required to withhold a certain percentage of payments and remit the same to the government at regular intervals.

Withholding tax on quarterly corporate income

A corporation subject to income tax files a return of its estimated taxable income for each quarter of the taxable year and pays the tax within 60 days from the close of each of the first three quarters, whether the corporation is on a calendar or fiscal year basis.

Withholding tax on passive income

A withholding tax which is prescribed only for certain payors and is not creditable against the income tax due of the payee for the taxable year. The tax withheld constitutes the full and final payment of the income tax due from the payee on the said income.

Withholding tax on government money payments

Is the withholding tax withheld by government offices, government-owned and controlled corporations, and local government units before



making any payments to private individuals, corporations and partnerships.

Withholding tax at source

A payor corporation/person having the receipt, custody, control, or paying certain kinds of income or gains of an individual or corporation subject to tax is constituted as a “withholding agent” of the BIR to deduct and withhold the tax on the income.

Annualized withholding tax method

This method is used when the employer-employee relationship is terminated before the end of the calendar year, and when computing for the year-end adjustment, the employer shall determine the amount to be withheld from the compensation in the last month of employment or in December of the current calendar year.

Withholding of tax

It is a method by which taxes are collected at the source. It is required as a means by which the government can collect the appropriate amount of taxes through payers who are constituted as the government’s withholding tax agents.

Withholding agent

To the collection or withholding of the tax, he is the government’s agent. With the filing of the necessary income tax return and payment of the tax to the government, he is the agent of the taxpayer. He is also the agent of the beneficial owner of the dividends to the filing of the necessary income tax return and actual payment of the tax to the government. Such authority may reasonably be held to include the authority to file a claim for refund or to bring an action for the recovery of such claim.

Creditable withholding tax

It is a system intended to withhold taxes equally or at least approximate the tax due of the payee on certain income payments. These are not deemed full and final payment for income tax due on the income payments made by the payee.

**Final withholding**

This constitutes full and final payment of the income tax due to the payee of said income. The payee is not required to file an income tax return for the particular income payment subject to a final withholding tax.

Wash sale

Is a pre-arranged fictitious sale of stocks or securities with no change in ownership that is made to influence the market or to establish a loss for tax purposes. The loss is not deductible because it is considered an artificial loss.



Income Tax Trust

Annuities

Refers to the yearly allotment, allowance, earnings, pension, or specified income payable for life by insurance companies to be insured. They are periodic payments over a person's lifetime or a certain number of years.

Fixed annuity

A tax-deferred financial instrument marketed by insurance companies and brokerage firms that pays a fixed rate of interest that readjusts annually.

Variable annuities

Annuities that change in value based on the performance of sub-accounts made up of a marketable basket of individual stocks and bond investments.

Arbitrage

This refers to the transactions by stock traders in which securities are bought in one market and sold almost simultaneously in another market where the price is higher.

Cestui Que Trust

The one with a right to the trust or the beneficiary of a trust.

Trust

It is an arrangement created by will or an arrangement under which title to the property is passed to another for conservation or investment with the income and, ultimately, the principal to be distributed by the directives of the creator as expressed in the governing instrument.

Irrevocable trust

The irrevocability of the trust must be both as to principal and income. They are taxed exactly in the same way as estates under the judicial settlement, including exemptions and rule of accrual. The basis in computing the tax is the status of the trustor or grantor.

**Revocable trust**

Is one in which where at any time, the power to revest in the grantor title to any part of the principal of the trust is vested in the grantor either alone or in conjunction with any person not having a substantial adverse interest in the disposition of such part of the principal or the income, (b) the power to revest in any person not having a substantial adverse interest in the disposition of such part of the principal or the income.

Trust beneficiary

The recipient of the assets of the trust by the instructions of the creator.

Trust grantor

An individual who has certain powers to control or direct the trustee of a trust, typically used with a foreign trust.

Trustee

An individual or corporation that holds legal title to all assets contained in a trust.



Income Tax Capital Assets

Appraisal

It is the act or process of determining the value of the property as of a specific date for a specific purpose.

Appraisal surplus

The excess of estimated depreciated replacement cost or other bases of measurement of fixed or other assets over their cost or book value. It is sometimes referred to as an unrealized profit.

Capital gain (loss)

Is the gain (loss) realized by a taxpayer from the sale, exchange, or other disposition of capital asset?

Dealer

One whose business is to buy and sell merchandise, goods, and chattels as a merchant. He stands immediately between the producer or manufacturer and the consumer and depends on his profits not upon the labor he bestows upon his commodities but upon the skill and foresight with which he watches the market.

Dealers in securities

Are merchants of stocks or securities, whether individuals or partnerships or corporations, with an established place of business, regularly engaged in the purchase of securities and the resale to customers with a view to the gains and profits that may be derived.

Direct rollover

A process that directly transfers assets from one retirement plan to another.

Capital gains tax

Is a final tax imposed upon capital gains presumed to have been realized from the sale, exchange, or other disposition of property located in the Philippines classified as capital assets, including pacto de retro sales, forced sales, or other forms of conditional sales, by individuals, estates,



or trusts, at the rate of 6% based on the gross selling price or zonal value or assessed value of the real property whichever is higher. This is also applicable to a corporate taxpayer.



VAT

Destination rule

This principle is followed in our VAT law, which means that exports are exempt, whereas imports are taxable and subject to VAT.

Cross border doctrine

This doctrine finds application in the Philippine VAT system, which means that no VAT shall be imposed to form part of the cost of goods destined for consumption outside the territorial border of the taxing authority.

Input tax

It is the tax on the purchase price of goods which is passed on or shifted to a buyer/purchaser by the supplier/seller. It is the VAT paid by a VAT registered person in the course of his trade or business on the importation of goods or local purchases of goods or services from a VAT-registered person.

Presumptive input tax

The arbitrary input tax credits to persons liable for the VAT or to VAT-registered persons where the purchases are not subject to any input VAT.

Transitional input tax

The input tax allowed to be creditable against the output tax of a person liable to VAT or to a VAT-registered person on his beginning inventory of goods, materials and supplies, equivalent to 8% of the value of his inventory filed according to the rules and regulations prescribed by the Secretary of Finance or the actual VAT paid on such goods, materials and supplies, whichever is higher

Output tax

The VAT on the sale of taxable goods or services by any person registered or required to register for VAT purposes. When a taxpayer who paid the input tax now sells the goods or renders the service, he shall be subject to VAT, which is known as the output tax.

**Transactions deemed sale**

These are activities (business or non-business) which are deemed sale for purposes of the VAT.

VAT threshold

Refers to the ceiling fixed by law to determine VAT registrable taxpayers. The VAT threshold is currently set at P3,000,000, and the same shall be used to determine the income tax liability of self-employed individuals and professionals.

VAT system

This is a method of imposing an ad valorem tax on value-added. The whole of the sales value of consumer goods or services is taxed by installments as the goods pass along the production and distribution chain involving successive transactions between businesses, but the tax is levied at each stage only on the value-added at one point. Although the tax is levied at all stages, their total value is subject to tax once and once only, so that, the amount of tax collected would be equal to that of a single-stage tax.

Zero-rated transactions

Transactions, either sale by VAT-registered persons or services performed in the Philippines by VAT-registered persons that are taxable subject to 0%. These are taxable transactions for purposes of VAT, but the seller is not liable to pay output tax. However, the taxpayer is allowed to credit/deduct input tax from his other tax liabilities.



Estate Tax

Administrator

A person or trust company appointed by the court to administer and distribute the estate after paying the estate tax where no executor was named in the will or if the executor does not want to act.

Executor

A person or trust company named in the will to carry out its provision, including the payment of estate tax before any distribution or partition of the estate.

date-of-death valuation principle

This rule provides that the deductible amount to be claimed against the estate is fixed as of the date of the decedent. Post-death developments are not material in determining the amount of the deduction.

Decedent

Deceased person

Estate Tax

It is a tax on the right to transfer property at death and on certain transfers which are made by law the equivalent of testamentary disposition and is measured by the value of the property.

Estate

This refers to the mass of property, rights, and obligations left behind by the decedent upon his death. An estate may be one that is under the judicial settlement or one that is not under judicial administration.

Gross estate

Refers to all property, real or personal, tangible or intangible, wherever situated that is left behind by the decedent for transmission to the legal heirs or beneficiaries.

Estate beneficiary

The recipient of the assets of an estate according to the terms of a will.



Estate planning

How a person takes steps to conserve the property to be transmitted to his heirs by decreasing the amount of estate taxes to be paid upon his death.

Transfers in contemplation of death

It is the thought of death, as a controlling motive, which induces the disposition of the property to avoid the tax.

Revocable transfer

These are transfers made by the decedent during his lifetime, where the transfers were made by a trust or otherwise the enjoyment of his property to another, subject to his right to revoke the transfer at will, with or without notifying the transferee anytime before he dies.

Transfer of property for insufficient consideration

If the transfer of decedent's property is not bona fide sale for adequate and full consideration in money or money's worth, there shall be included in the gross estate only the excess of the fair market value of the property at the time of death, over the value of the consideration received by the decedent.

Transfers with reservation of certain rights

This kind of transfer allows the transferor to continue enjoying, possessing, or controlling the property (beneficial ownership) because only the naked title has been transferred. Only upon the death of the decedent shall both the naked title and beneficial use be consolidated on the transferee.

Transfer for a public purpose

This refers to all bequests, legacies or transfers, to and for the use of the government for exclusively public purposes. The transfer must be testamentary, and the value of such property transferred is an allowable deduction for estate tax purposes.

Transfer under a general power of appointment

It is one kind of appointment which may be exercised in favor of another.



The property passing under this appointment shall be included in the gross estate of the transferor.

Valuation of the gross estate

The fair market value of the gross estate at the time of the decedent's death and not its value at the time of partition or distribution.

Vanishing deduction

It is an exclusive deduction from the gross estate of citizens, non-residents citizens and resident aliens, allowed to minimize the harshness of double taxation. This is a deduction allowed on the property left behind by the decedent, which he had acquired previously by inheritance or donation from a prior decedent. It is called a vanishing deduction because the deduction allowed diminishes for five years.



Donor's Tax

Donor's tax

It is a tax imposed on the gratuitous transfer of property between two or more persons who are living at the time of transfer. It is neither a property tax nor a personal tax but a tax imposed on the right or privilege of the donor to make a gift.

Donation inter vivos

It is one made between living persons, and which is perfected from the moment the donor knows of the acceptance of the donee. It is subject to donor's tax

Donation mortis causa

It is one which is to take effect upon the death of the donor and partakes of the nature of a testamentary disposition.



Tax Remedies

Abatement

Cancellation of tax liability by the Commissioner when (a) the tax appears to have been unjustly or excessively assessed or (b) the administrative and collection costs do not justify the collection of the amount due.

ability-to-pay principle

The more money one has, the more taxes he should pay, and the less money he has, the less tax he pays to the government. This also applies to privileges enjoyed, so that, the more privileges one enjoys, the more taxes he should pay to the government, and the less privilege received, the less tax he has to pay.

Accrual of tax

Refers to the time the tax becomes due and collectible

Assessment

Fixes and determines the tax liability of a taxpayer, it is also a demand made on the taxpayer concerned to settle the amount indicated in it. It also signals the time when penalties and interests begin to accrue against the taxpayer. It is a step preliminary but essential to warrant of distraint and levy, if still feasible, and also to establish a cause for judicial action against the taxpayer.

Deficiency assessment

This is an assessment made by the tax assessor himself whereby the correct amount of the tax is determined after the examination or investigation conducted.

Disputed assessment

It is one where the taxpayer contests the legality or validity of the assessment and asks that the same be canceled or withdrawn.

Erroneous assessment

An assessment made by a person who has the authority to act, but the same is erroneous, or he errs in the exercise of that power.

**Final assessment**

An official assessment of what was not disputed within the prescribed time or that which was not contested on appeal by the taxpayer.

Void assessment

An assessment is illegal and void when the assessment is made by a person who has no power to act at all.

Official assessment

Is issued by the BIR in case the taxpayer fails to respond to the proposed assessment, or his explanation is not satisfactory to the commissioner.

Prospective assessment

Inform the taxpayer of the findings of the tax examiner who recommends a deficiency assessment. The taxpayer is given ten days from notice within which to explain his side.

Benchmarking

A method of assessment that matches purchases and other expenses with gross receipts to tax payments.

Best evidence obtainable rule

When the Commissioner of BIR prepares a return for an on behalf of the taxpayer, he must see to it that the data used in that return are based on best evidence obtainable and not on hearsay evidence.

Compromise

A contract whereby the parties by reciprocal concessions avoid litigation or put an end to one already commenced.

Extra-judicial compromise

All other compromise and like any contract may be enforced by court litigation.

Judicial compromise

Where a decision based on the agreement rendered by the court on request of the parties. It is maybe enforced by mere execution.



Mixed compromise

It includes the two kinds of compromise

Compromise penalty

It is the amount in money paid instead of criminal prosecution which is an entirely voluntary act on the part of the taxpayer so that a taxpayer's criminal liability from his violation of the provisions of the Tax Code may be settled extra-judicially instead of the BIR instituting a criminal action in court against the taxpayer.

Corporate layering

This is a kind of tax avoidance set up by a corporation through the exchange of real property for shares of stocks which transfer is tax-free.

Court of Tax Appeals

This is an exclusively appellate court of special jurisdiction reviewing decisions and matters properly brought before it on appeal by an aggrieved taxpayer involving specific tax cases. It has the rank equivalent to that of the Court of Appeals.

Delinquency

Is the failure of the taxpayer to pay the tax due on the date fixed by law or indicated in the assessment notice or letter of demand. This is to be distinguished from *deficiency*, which is the amount still due or collectible from a taxpayer upon audit or investigation.

Distrain of personal properties

Is the seizure by the government of personal property, tangible or intangible, to enforce the payment of taxes, to be followed by its public sale, if the taxes are not voluntarily paid.

Actual distraint

It is a remedy resorted to by the government when, at the time required for payment, the taxpayer fails to pay the tax? There are actual seizures and distraint of personal property sufficient in quantity to satisfy the tax liability of the delinquent taxpayer.



Constructive Distraint

No actual deficiency is necessary before the same is resorted to. It is a preventive remedy aimed to forestall a possible dissipation of the taxpayer's assets when delinquency takes place.

Levy of real property

It is a summary administrative remedy referring to the act of seizure of real property to enforce the payment of taxes? The property may be sold at public sale if, after the seizure, the taxes are not voluntarily paid.

The doctrine of constructive receipt of income

This is designed to prevent the taxpayer on a cash basis from deferring or postponing the actual receipt of taxable income. So, if a taxable income is already constructively placed at the free disposal of the taxpayer without any condition attached to its use and receipt, it said the amount is already taxable to the taxpayer. Without the rule, the taxpayer can conveniently select the year in which he will report his income.

The doctrine of equitable recoupment

Where the refund of a tax illegally or erroneously collected or overpaid by a taxpayer is barred by prescription and a tax presently being assessed against the taxpayer, such present tax may be recouped or set-off against the tax, the refund of which has been barred. The tax on which an overpayment was made arose from the same transaction as the tax on which underpayment is due.

Doctrine of estoppels

In the performance of its governmental functions, the State cannot be stopped by the neglect, errors, or mistakes of its agents or officers. The erroneous application and enforcement of the law by public officials do not block the subsequent correct application of the statutes.

Doctrine of imprescriptibility

Taxes are imprescriptible unless the law itself provides for a prescription.

The doctrine of incidental tax exemption

This principle applies to properties that re taxed exempt under the Constitution, which extends to facilities that are incidental to and



necessary for the accomplishment of the purpose. An incidental property is part of the principal, and if the latter is exempt, the former is also exempt.

Time of payment

Refers to the date the tax is payable without penalty. For any late payment, surcharge and interest and other penalties are imposable.

Administrative protest

The remedy was available to a taxpayer. A taxpayer may file a written protest with the local treasurer within 30 days from payment of the tax with the provincial or city or municipal treasurer where the property is located who shall decide the protest within 60 days from the receipt of the protest.

Certificate of repurchase after-sale

This is given to the delinquent taxpayer or his assign if he exercises his option to redeem the property sold either to the highest bidder in the public auction or to the province If there was no winning bidder.

Certificate of sale

This is given to the winning bidder at the public auction or to the province if it decided to purchase the property when there was no other bidder or no satisfactory bid.

The doctrine of judicial non-interference

Courts cannot inquire into the wisdom of a taxing act or the advisability of a tax. The judicial tribunals of the State have no concern with the policy of legislation neither can it legitimately question or refuse to sanction the provision of any law not inconsistent with the fundamental law of the State, nor can the motive which has influenced the selection of objects of taxation, the rate, be inquired into. The court's power in taxation is limited only to the application and interpretation of the law.

The doctrine of legal compensation

Taxes cannot be the subject of legal compensation because the government and the taxpayer are not mutually creditors and debtors of



each other, and a claim for taxes is not such debt, demand, contract, or judgment as is allowed to be set-off.

Waiver of the statute of limitations

It is a signed statement whereby the taxpayer conveys his agreement to extend the period within which the BIR may validly issue an assessment for deficiency taxes. If a taxpayer opts to execute a waiver of the statute of limitations, he shall likewise be, in effect waiving his right to invoke the defense of prescription for assessments issued after the reglementary period.

Warrant of levy

This refers to the act of seizure of real property in order to enforce the payment of taxes. The property may be offered in a public sale if, after the seizure, the taxes are not voluntarily paid.

No injunction rule

No court shall have the authority to grant an injunction to restrain the collection of any tax, fee, or charge imposed under the Tax Code.